CONSTRUCTION-TO-MINI-PERMANENT LOAN AGREEMENT

by and among

PINNACLE SAVINGS BANK, N.A., as Lender,

HARBORVIEW CAPITAL PARTNERS LLC, as Borrower,

ELENA VASQUEZ-TORRES and REGINALD K. OSEI, as Guarantors

Dated as of [_____], 2025

The Piedmont at Brightleaf
601 and 615 Foster Street, Durham, North Carolina 27701
Durham County Parcel Identification Nos. 0821-04-72-3341 and 0821-04-72-4102

Lender’s Loan No. CRE-2025-0342

DRAFT No. 1 — LENDER’S COUNSEL DRAFT: FEBRUARY 3, 2025

NOT FOR EXECUTION. This draft has been prepared by Ashford, Cromdale Consulting & Laine LLP from the executed Term Sheet dated January 10, 2025, the Senior Loan Committee Credit Memorandum dated January 22, 2025 and the third-party reports and Borrower materials described in the Cover Memorandum delivered herewith. Bracketed items and italicized drafting notes identify open business terms, unresolved record inconsistencies and conditions requiring confirmation before execution. See the Cover Memorandum for a full schedule of open items.

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RECITALS

A. Borrower is a North Carolina limited liability company formed on March 14, 2019 (North Carolina Secretary of State File No. 1923847) and is the owner of two contiguous parcels of real property located at 601 and 615 Foster Street, Durham, Durham County, North Carolina 27701, identified as Durham County Parcel Identification Nos. 0821-04-72-3341 and 0821-04-72-4102, respectively,

aggregating approximately 3.47 acres (the “Property”), together with the improvements to be constructed thereon.

B. Borrower has requested that Lender provide a construction-to-mini-permanent loan in the principal amount of $47,500,000 to finance a portion of the costs of constructing a six-story, 212-unit Class A mixed-use residential and retail development, containing approximately 18,400 square feet of ground-floor retail space and a four-level structured parking garage with 276 parking spaces, together with related amenities and site improvements (the “Project”), and to finance related soft costs, an interest reserve and the fees described herein.

C. The loan is being made on the terms and subject to the conditions set forth in (i) that certain Term Sheet dated January 10, 2025 between Lender and Borrower (the “Term Sheet”), as approved by Lender’s Senior Loan Committee on January 22, 2025 (the “Credit Approval”), and (ii) this Agreement.

D. Brightleaf Mezzanine Capital LLC, a North Carolina limited liability company (North Carolina Secretary of State File No. 2103988) (the “Mezzanine Lender”), is making a mezzanine loan to Borrower in the original principal amount of $9,200,000 (the “Mezzanine Loan”), secured by a subordinate pledge of 100% of the membership interests in Borrower. Lender’s making of the Loan is conditioned upon, among other things, the execution and delivery of an intercreditor agreement among Lender, Mezzanine Lender and Borrower on terms satisfactory to Lender.

E. Elena Vasquez-Torres and Reginald K. Osei have agreed to guarantee certain obligations of Borrower as provided in Article IX, and each of the members of Borrower has agreed to pledge its membership interests in Borrower to Lender as additional security for the Obligations.

F. As a condition to closing, and as a condition to each Advance, Borrower has agreed to satisfy the conditions, and to make the representations, warranties and covenants, set forth in this Agreement, including the environmental covenants set forth in Sections 5.8 and 6.4 relating to the conditional No Further Action determination issued by the North Carolina Department of Environmental Quality on September 30, 2024.

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Lender, Borrower and each Guarantor agree as follows:

ARTICLE I — DEFINITIONS AND INTERPRETATION

1.1 Defined Terms. Capitalized terms used in this Agreement have the meanings set forth below or elsewhere in this Agreement as indicated.

“**Advance**” means any advance of the Loan proceeds made or to be made by Lender under Article IV, including the Initial Advance and the Final Advance.

“**Advance Request**” means a written request for an Advance, in substantially the form attached as Exhibit A, executed by an Authorized Officer of Borrower and accompanied by the items required by Section 4.1 and Section 4.2.

“**Affected Area**” means the approximately 0.38-acre portion of the Property located in the northeast corner of Parcel 0821-04-72-4102, as delineated on Figure 3 to the Phase I ESA and as depicted on the Survey, subject to the land use restriction described in the NFA Letter and in Schedule 1.4.

“**Affiliate**” means, as to any Person, any other Person that directly or indirectly controls, is controlled by, or is under common control with, such Person, and, with respect to any natural Person, includes such Person’s spouse, domestic partner, descendants, and any trust or estate planning vehicle for the benefit of any of them. For purposes of this definition, “control” means the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of a Person, whether through ownership of voting securities, by contract or otherwise.

“**Agreement**” means this Construction-to-Mini-Permanent Loan Agreement, as amended, restated, supplemented or otherwise modified from time to time.

“**Applicable Rate**” means, (a) during the Construction Period, the lesser of (i) Daily Simple SOFR plus 3.25% per annum and (ii) the Maximum Lawful Rate, and (b) during the Mini-Perm Period, the lesser of (i) Daily Simple SOFR plus 3.50% per annum and (ii) the Maximum Lawful Rate; in each case subject to the SOFR Floor.

“**Appraisal**” means the self-contained appraisal report of the Property prepared by Ridgeline Appraisal Services Inc. (Linda M. Haverford, MAI; file reference RAS-2024-1147) dated November 15, 2024, concluding (a) an as-is land value of $8,900,000, (b) a prospective as-completed value of $72,800,000, and (c) a prospective as-stabilized value of $76,200,000, together with any update, reinstatement or replacement appraisal obtained under this Agreement.

“**Appraised Value**” means, as of any date, the value of the Property (or the applicable valuation basis) set forth in the most recent Appraisal (or update thereof) acceptable to Lender in its reasonable discretion.

“**Approved Budget**” means the Project budget set forth in Schedule 1.1, as the same may be modified from time to time with Lender’s prior written consent (which consent may be given by reallocation among line items in accordance with Section 4.7).

“**Approved Draw Schedule**” means the schedule of Advances and construction milestones set forth in Schedule 1.2, as the same may be adjusted in accordance with Section 4.3 and Section 4.12.

“**Approved Plans**” means the plans and specifications for the Project prepared by the Architect and approved by Lender, together with all Construction Documents, Change Orders approved in accordance with Section 4.12, and all amendments thereto.

"**Architect**" means Meridian Design Collective PC, a North Carolina professional corporation, or any replacement architect approved by Lender in writing.

"**Architect Agreement**" means the agreement between Borrower and the Architect for the design and construction administration of the Project, as assigned to Lender pursuant to Section 9.4.

"**ARC**" means the Architectural Review Committee of the Brightleaf Historic District Association, Inc.

"**Assignment of Rents**" means the Assignment of Rents and Leases of even date herewith from Borrower to Lender, as amended, restated or otherwise modified from time to time.

"**Authorized Officer**" means any of Elena Vasquez-Torres (Managing Member) or Daniel Okafor (Vice President of Development), and, as to any compliance certificate delivered under Section 8.7, the Managing Member.

"**Borrower Net Worth**" means, as of any date, (a) the total assets of Borrower determined in accordance with GAAP, plus (b) to the extent not already included, the excess of the most recent Appraised Value of the Property over the book value of the Property, minus (c) Total Liabilities of Borrower determined in accordance with GAAP; provided that for purposes of this definition (i) the balance outstanding under the Loan and the Mezzanine Loan shall be included in Total Liabilities, and (ii) no asset may be included at a value in excess of its fair market value as reasonably determined by Lender.

"**Business Day**" means any day other than a Saturday, Sunday or other day on which commercial banks in Charlotte, North Carolina are authorized or required by law to be closed, and which is also a day on which the Federal Reserve Bank of New York publishes SOFR.

"**CC&Rs**" means that certain Declaration of Covenants, Conditions and Restrictions recorded by Brightleaf Historic District Association, Inc. in Book 6984, Page 1155, Durham County Registry, dated November 3, 2014, as amended by the First Amendment recorded in Book 7102, Page 388, Durham County Registry, dated June 19, 2017, together with all amendments and supplements thereto.

"**Change Order**" means any change, addition, deletion or other modification to the Construction Contract, the Approved Plans or the scope of the Project, including any change in the Guaranteed Maximum Price.

"**Closing**" and "**Closing Date**" mean the date on which the Loan is closed and the Initial Advance is made.

"**Commitment**" means the principal amount of $47,500,000, as the same may be reduced in accordance with Section 2.11 or Section 2.13 of the Term Sheet's implementation in this Agreement, and subject in all events to the limitation set forth in Section 2.1(b) and the covenants set forth in Article VIII.

"**Completion Guaranty**" means the Joint and Several Completion Guaranty of even date herewith executed by each Guarantor in favor of Lender.

"**Compliance Certificate**" means a certificate substantially in the form of Exhibit B, executed by the Managing Member.

"**Condemnation**" means any taking or threatened taking of all or any portion of the Property or the Project by any Governmental Authority having the power of eminent domain, whether by negotiated settlement in lieu thereof or otherwise.

"**Construction Consultant**" means a third-party construction inspection and consulting firm selected by Lender and reasonably acceptable to Borrower.

"**Construction Contract**" means the guaranteed maximum price construction contract between Borrower and the Contractor in the Guaranteed Maximum Price of $34,750,000, together with all Change Orders approved in accordance with Section 4.12 and all warranties, guarantees and other rights thereunder.

"**Construction Documents**" means the Construction Contract, the Architect Agreement, all plans, specifications, drawings, shop drawings, schedules, subcontracts, purchase orders, permits, geotechnical and environmental reports and construction-related consultants' agreements relating to the Project.

"**Construction Maturity Date**" means the date that is thirty (30) months after the Closing Date; provided that in no event shall the Construction Maturity Date be later than August 28, 2027.

"**Construction Period**" means the period from and including the Closing Date to but excluding the Construction Maturity Date.

"**Contingency**" means the aggregate contingency line items in the Approved Budget, comprising a hard cost contingency of $1,140,000 and a soft cost contingency of $300,000.

"**Contractor**" means Graystone Construction Group Inc., a North Carolina corporation (NC General Contractor License No. 78442), or any replacement general contractor approved by Lender in writing.

"**Cost Overruns**" means any amounts required to complete the Project in accordance with the Approved Plans in excess of the sum of the undisbursed portion of the Commitment allocable to the affected cost category plus available Contingency.

"**Daily Simple SOFR**" means, for any day, the rate per annum equal to the secured overnight financing rate as administered by the Federal Reserve Bank of New York (or a successor administrator of the secured overnight financing rate) and published on the website of the Federal Reserve Bank of New York (or any successor source) for such day. Interest for each Interest Period shall be computed on the basis of a year of 360 days and the actual number of days elapsed, determined by (a) multiplying the Daily Simple SOFR in effect for each day in the Interest Period by the principal amount outstanding on such day, (b) dividing that product by 360, and (c) summing the resulting amounts for all days in the Interest Period.

"**Deed of Trust**" means the Deed of Trust, Assignment of Rents, Security Agreement and Fixture Filing of even date herewith from Borrower to the trustee

named therein for the benefit of Lender, encumbering the Property, as amended, restated or otherwise modified from time to time.

"**Default Rate**" means the lesser of (a) the Applicable Rate plus 5.00% per annum and (b) the Maximum Lawful Rate.

"**Developer Fee**" means the developer fee of $2,835,000 included in the Approved Budget as line item 5.01.

"**Distribution**" means any dividend, distribution, return of capital, loan or advance to, or any payment on account of any membership interest in Borrower, or any redemption, purchase or other acquisition of any membership interest in Borrower, or any payment of any management, development, oversight, guarantee or similar fee to any Member or Affiliate of any Member (other than the Developer Fee and ordinary-course reimbursement of third-party costs approved by Lender).

"**DSCR**" means, as of any date of determination, the ratio of (a) Stabilized Net Operating Income to (b) annual Debt Service on the outstanding principal balance of the Loan at the then-current Applicable Rate (determined, for purposes of this definition, without regard to any interest paid from the Interest Reserve), calculated on an interest-only basis during the Construction Period and the Mini-Perm Period.

"**Eligible Costs**" means costs and expenses incurred by Borrower in connection with the Project that are (a) included in the Approved Budget, (b) actually incurred and, where applicable, paid or then due and payable, (c) certified by Borrower as having been incurred in accordance with the Construction Documents and the Approved Plans, and (d) supported by invoices, invoices approved by the Architect, AIA Forms G702/G703 or other documentation reasonably acceptable to Lender.

"**Environmental Indemnity**" means the Environmental Indemnity Agreement of even date herewith executed by Borrower and each Guarantor in favor of Lender.

"**Environmental Laws**" means all federal, state and local statutes, regulations, ordinances, orders, permits and common law relating to pollution, the protection of human health or the environment, or the use, generation, storage, treatment, transportation, disposal, release or threatened release of Hazardous Materials, including CERCLA (42 U.S.C. § 9601 et seq.), the Resource Conservation and Recovery Act (42 U.S.C. § 6901 et seq.), the Clean Water Act, the Clean Air Act, the Toxic Substances Control Act, and the North Carolina Oil Pollution and Hazardous Substances Control Act (N.C.G.S. Chapter 143, Article 21A) and the North Carolina Inactive Hazardous Sites Response Act (N.C.G.S. Chapter 130A, Article 9).

"**Equity Deposit**" means a cash deposit by Borrower to Lender in an amount not less than $2,140,000 (or such greater amount as is required so that, after giving effect thereto, the Loan-to-Cost Ratio does not exceed 80.00%), deposited into the Equity Escrow Account in accordance with Section 4.8.

"**Equity Escrow Account**" means a deposit account established with Lender (or with the Title Company, if Lender so elects) and subject to a deposit account control agreement in form satisfactory to Lender, into which the Equity Deposit is

made and from which funds are applied solely to Eligible Costs in accordance with Section 4.8.

"**Event of Default**" has the meaning set forth in Article X.

"**Extension Fee**" means a fee equal to 0.25% of the then-outstanding principal balance of the Loan, payable on the effective date of the Extension Option.

"**Extension Option**" means the option of Borrower, subject to Section 2.13, to extend the Mini-Perm Maturity Date by six (6) months to the Extended Maturity Date.

"**Extended Maturity Date**" means February 28, 2029.

"**Final Advance**" means the final Advance of the Loan, made in accordance with Section 4.4.

"**GAAP**" means generally accepted accounting principles in the United States, consistently applied.

"**Governmental Authority**" means any federal, state, county, municipal or other governmental or quasi-governmental agency, authority, board, commission, department or instrumentality, including the City of Durham, Durham County, the State of North Carolina, NCDEQ, the Office of the Comptroller of the Currency and FEMA.

"**Guaranteed Maximum Price**" means $34,750,000, as such amount may be adjusted only by Change Orders approved in accordance with Section 4.12.

"**Guaranties**" means, collectively, the Completion Guaranty, the Carry Guaranty, the Partial Repayment Guaranty and the Environmental Indemnity.

"**Guarantor**" means each of Elena Vasquez-Torres and Reginald K. Osei, and "Guarantors" means both of them.

"**Hazardous Materials**" means any substance, material or waste that is regulated, listed, defined or classified as hazardous, toxic, a pollutant, a contaminant or a controlled substance under any Environmental Law, including petroleum and petroleum products, asbestos-containing materials, polychlorinated biphenyls, per- and polyfluoroalkyl substances and lead-based paint.

"**Indebtedness**" means, as to any Person, all obligations of such Person for borrowed money, all obligations evidenced by notes, bonds or similar instruments, all capitalized lease obligations, all reimbursement obligations for letters of credit, all guarantees of the obligations of any other Person, and all obligations secured by a Lien on any asset of such Person, whether or not assumed.

"**Initial Advance**" means the Advance made on the Closing Date in the amount set forth in Schedule 1.2.

"**Interest Period**" means, initially, the period from and including the Closing Date to but excluding the first Payment Date, and thereafter each successive period from and including a Payment Date to but excluding the next succeeding Payment Date.

“**Interest Reserve**” means the amount of $4,850,000 funded from the proceeds of the Initial Advance and held in the Interest Reserve Account, as such amount may be replenished in accordance with Section 2.10.

“**Interest Reserve Account**” means a segregated, Lender-controlled sub-account of Borrower’s loan account with Lender, established and maintained in accordance with Section 2.10, into which the Interest Reserve is funded and from which interest payments on the Loan are debited during the Construction Period.

“**Intercreditor Agreement**” means the intercreditor and subordination agreement among Lender, Mezzanine Lender and Borrower, in form and substance satisfactory to Lender, as amended, restated or otherwise modified from time to time in accordance with its terms and Section 13.3.

“**Lien**” means any mortgage, deed of trust, pledge, security interest, hypothecation, assignment, lien, charge, encumbrance, easement, restriction or other preferential arrangement of any kind or nature.

“**Loan**” means the loan made by Lender to Borrower under this Agreement in the principal amount of the Commitment.

“**Loan Documents**” means this Agreement, the Note, the Deed of Trust, the Assignment of Rents, the Security Agreement, the Collateral Assignments, the Pledge Agreements, the Guaranties, the Environmental Indemnity, the Intercreditor Agreement, the Equity Escrow documents and all other documents, instruments, certificates and agreements now or hereafter executed and delivered in connection with the Loan, as each may be amended, restated, supplemented or otherwise modified from time to time.

“**Loan-to-Cost Ratio**” or “**LTC**” means, as of any date of determination, the ratio (expressed as a percentage) of (a) the aggregate outstanding principal balance of the Loan (after giving effect to any Advance then being requested) to (b) Total Project Costs, determined in accordance with Section 8.1.

“**Loan-to-Value Ratio**” or “**LTV**” means, as of any date of determination, the ratio (expressed as a percentage) of the aggregate outstanding principal balance of the Loan to the applicable Appraised Value of the Property.

“**Material Adverse Effect**” means any act, event, condition or circumstance that, individually or in the aggregate, (a) has or would reasonably be expected to have a material adverse effect on the business, assets, liabilities, operations, condition (financial or otherwise) or prospects of Borrower, any Guarantor, any Member, the Property or the Project, (b) impairs or would reasonably be expected to impair the ability of Borrower or any Guarantor to perform its obligations under the Loan Documents, (c) impairs the enforceability or priority of any Lien granted to Lender, (d) results in the suspension, revocation, expiration or non-renewal of any material permit, approval or entitlement required for the Project, including any condition of the NFA Letter or any approval of the ARC, or (e) results in the imposition of any additional material condition or restriction on the development or use of the Property.

“**Maturity Date**” means the Construction Maturity Date, the Mini-Perm Maturity Date or the Extended Maturity Date, as applicable, and, in each case, such earlier date on which the entire outstanding principal balance of the Loan and all accrued and unpaid interest and other Obligations become due and payable, whether by acceleration, prepayment, operation of law or otherwise.

“**Maximum Lawful Rate**” means the maximum nonusurious rate of interest permitted by applicable law (including N.C.G.S. Chapter 24) from time to time in effect.

“**Members**” means Elena Vasquez-Torres, Brightleaf Investors Group LLC and Reginald K. Osei, and “Member” means any one of them.

“**Mezzanine Loan Documents**” means the loan agreement, promissory note, pledge agreement and all other documents evidencing or securing the Mezzanine Loan.

“**Mini-Perm Maturity Date**” means the date that is twelve (12) months after the Construction Maturity Date (which, assuming a Closing Date of February 28, 2025, is August 28, 2028).

“**Mini-Perm Period**” means the period from and including the Construction Maturity Date to but excluding the Mini-Perm Maturity Date (or, if the Extension Option is exercised, the Extended Maturity Date).

“**NCDEQ**” means the North Carolina Department of Environmental Quality, Inactive Hazardous Sites Branch, or any successor agency.

“**NFA Letter**” means the No Further Action determination letter issued by NCDEQ dated September 30, 2024 for Site ID IHSB-24-1203 / Incident No. NONUST-24-0847, together with all conditions, restrictions and requirements thereof and any modification, amendment or written interpretation thereof.

“**Note**” means the Promissory Note of even date herewith in the principal amount of the Commitment, executed by Borrower and payable to the order of Lender.

“**Obligations**” means all present and future obligations and liabilities of Borrower and each Guarantor to Lender under or in connection with the Loan Documents, whether direct or indirect, absolute or contingent, due or to become due, now existing or hereafter arising, including all principal, interest, fees, expenses, indemnities and enforcement costs.

“**Payment Date**” means the first Business Day of each calendar month, commencing on the first Business Day of the first full calendar month following the Closing Date.

“**Permitted Exceptions**” means the matters described in Schedule 1.3 and no others.

“**Person**” means any individual, corporation, limited liability company, partnership, joint venture, trust, estate, unincorporated organization or Governmental Authority.

“**Phase I ESA**” means the Phase I Environmental Site Assessment prepared by Sentinel Environmental Consulting LLC (Dr. James Whitfield, P.E.; Project No. SEC-2024-1147) dated October 28, 2024, prepared in accordance with ASTM E1527-21 and 40 C.F.R. Part 312.

“**Pledge Agreements**” means, collectively, the pledge and security agreements of even date herewith from each Member in favor of Lender, pledging to Lender all of such Member’s right, title and interest in and to the Pledged Interests.

“**Pledged Interests**” means 100% of the membership interests in Borrower, consisting of the 62% membership interest held by Elena Vasquez-Torres, the 28% membership interest held by Brightleaf Investors Group LLC and the 10% membership interest held by Reginald K. Osei, together with all economic and governance rights appurtenant thereto, as more particularly described in Schedule 1.5.

“**Project Costs**” and “**Total Project Costs**” mean the aggregate of all costs and expenses incurred or to be incurred in connection with the acquisition, development, construction, equipping, financing and completion of the Project, as set forth in the Approved Budget, being $56,700,000 as of the Closing Date, and thereafter as reflected in the Approved Budget as modified in accordance with Section 4.7. Total Project Costs shall be determined without duplication and shall include the Interest Reserve, the Origination Fee and the Developer Fee to the extent included in the Approved Budget.

“**Reporting Requirements**” means the reporting obligations set forth in Section 6.8 and Schedule 6.8.

“**Requirement of Law**” means any statute, law, ordinance, code, rule, regulation, order, judgment, decree, permit or other requirement of any Governmental Authority.

“**Retainage**” means, with respect to each Hard Cost Advance, ten percent (10%) of the gross Hard Costs covered by such Advance, withheld and held by Lender in accordance with Section 4.3.

“**Security Agreement**” means the Security Agreement of even date herewith from Borrower to Lender, granting a first-priority security interest in all personal property, fixtures, equipment, accounts, general intangibles, permits, plans, contracts and related collateral.

“**SOFR Floor**” means 1.00% per annum.

“**Stabilized Net Operating Income**” or “**NOI**” means, for any period, the net operating income of the Property for such period determined in accordance with GAAP (excluding interest expense, income taxes, depreciation, amortization and any extraordinary or non-recurring items), adjusted to (a) deduct a replacement reserve of not less than $250 per residential unit per annum, (b) deduct the annual assessment payable under the CC&Rs (currently $0.12 per square foot of gross building area), and (c) exclude any non-recurring lease-up costs.

"**Stabilized Occupancy**" means occupancy of at least ninety-five percent (95%) of the residential units and retail square footage of the Project, measured on a physical occupancy basis for not less than three consecutive months.

"**Substantial Completion**" means substantial completion of the Project in accordance with the Approved Plans, as evidenced by the Architect's certificate of substantial completion (AIA G704 or equivalent) and the issuance by the City of Durham of a certificate of occupancy (temporary or final) permitting occupancy of all residential units and retail space.

"**Survey**" means a current ALTA/NSPS Land Title Survey of the Property prepared by a licensed North Carolina surveyor, certified to Lender, Borrower and the Title Company, meeting the 2021 ALTA/NSPS Minimum Standard Detail Requirements and including such Table A optional items as Lender may require, and depicting the Affected Area.

"**Title Company**" means Aldersgate Title & Escrow Inc., or any successor title company approved by Lender.

"**Title Policy**" means the ALTA Loan Policy (06-17-06) of title insurance issued by the Title Company in favor of Lender in the amount of the Commitment (as the same may be reduced from time to time), insuring the Deed of Trust as a valid first-priority lien on the Property subject only to the Permitted Exceptions, together with the endorsements described in Schedule 9.1.

"**Total Liabilities**" means, as to any Person, all liabilities of such Person determined in accordance with GAAP, including all Indebtedness.

"**UCC**" means the Uniform Commercial Code as in effect in the State of North Carolina.

1.2 Interpretation. In this Agreement, unless the context otherwise requires: (a) the singular includes the plural and vice versa; (b) references to Articles, Sections, Schedules and Exhibits are to articles, sections, schedules and exhibits of this Agreement; (c) "including" means "including without limitation"; (d) "or" is not exclusive; (e) references to any statute or regulation include any amendment, successor or re-enactment thereof and the rules and regulations promulgated thereunder; (f) references to any agreement or instrument include such agreement or instrument as amended, restated, supplemented or otherwise modified from time to time in accordance with its terms and, if applicable, this Agreement; (g) headings are for convenience only and do not affect interpretation; (h) references to "dollars" or "$" are to United States dollars; (i) any determination to be made by Lender "in its discretion," "in its sole discretion" or "in its reasonable discretion" shall be made in the manner specified, and where no standard is specified Lender's reasonable judgment shall apply reasonably exercised in good faith; and (j) this Agreement has been negotiated by the parties with the benefit of counsel, and no rule of construction resolving ambiguities against the drafting party shall apply.

1.3 Accounting Terms. All accounting terms not otherwise defined have the meanings given to them under GAAP. If any change in GAAP after the date hereof would affect the computation of any financial covenant, Borrower and Lender shall

negotiate in good faith an amendment to preserve the original intent; pending such amendment, the covenant shall be computed on the basis of GAAP in effect on the Closing Date.

1.4 Rounding. Any financial ratio or percentage shall be rounded to the nearest one-hundredth of one percent (0.01%) and dollars to the nearest whole dollar.

ARTICLE II — THE LOAN

2.1 The Commitment; Maximum Outstanding Amount.

(a) Subject to the terms and conditions of this Agreement, Lender agrees to make Advances to Borrower from time to time in an aggregate principal amount not to exceed the Commitment.

(b) **Borrowing Base Limitation.** Notwithstanding the Commitment, in no event shall the aggregate outstanding principal balance of the Loan at any time exceed the lesser of (i) the Commitment and (ii) an amount equal to eighty percent (80%) of Total Project Costs (the "LTC Availability"), it being acknowledged that, based on Total Project Costs of $56,700,000 as of the Closing Date and the Equity Deposit of $2,140,000 required by Section 4.8, the LTC Availability would be $45,360,000 and the Loan would accordingly be advanced in the maximum aggregate principal amount of $45,360,000 unless Total Project Costs are increased (whether by Change Orders, Cost Overruns or otherwise) and approved by Lender in accordance with Section 4.7. The amount of the Commitment not advanced as a result of this limitation shall remain available for Advance if, when and to the extent Total Project Costs increase as permitted by this Agreement.

(c) The Loan is a multiple-disbursement facility. Nothing in the Term Sheet's reference to a "single advance facility" shall be construed to require a single disbursement of the Loan proceeds; Advances shall be made in accordance with the Approved Draw Schedule and Article IV.

2.2 Purpose and Use of Proceeds. The proceeds of the Loan shall be used solely to (a) pay Eligible Costs included in the Approved Budget, (b) fund the Interest Reserve, (c) pay the Origination Fee, and (d) pay such other costs as are expressly approved in writing by Lender. No proceeds of the Loan shall be used to (i) reimburse or return to any Member or Affiliate any capital contribution or prior expenditure, including any portion of the land acquisition cost reflected in the Approved Budget, except as expressly approved by Lender in writing, (ii) make any Distribution, (iii) pay any portion of the Mezzanine Loan, or (iv) pay any cost that is not an Eligible Cost.

2.3 The Note. The Loan shall be evidenced by the Note, which shall be payable to the order of Lender in the principal amount of the Commitment, with interest as provided herein and in the Note. The Note shall be repaid in accordance with the terms of this Agreement and the Note.

2.4 Interest Rate. Interest shall accrue on the outstanding principal balance of the Loan at the Applicable Rate for each day, computed on the basis of the actual

number of days elapsed over a 360-day year in accordance with the definition of "Daily Simple SOFR."

2.5 SOFR Floor. If Daily Simple SOFR is less than 1.00% on any day, Daily Simple SOFR shall be deemed to be 1.00% for purposes of calculating the Applicable Rate for such day. The parties acknowledge that, as of the Closing Date, the SOFR Floor results in a minimum Applicable Rate of 4.25% during the Construction Period and 4.50% during the Mini-Perm Period.

2.6 Benchmark Replacement. If Lender determines that (a) Daily Simple SOFR is not available or has been permanently discontinued, (b) the administrator of SOFR or a Governmental Authority has made a public statement announcing that SOFR will be discontinued or is no longer representative, (c) SOFR is no longer a widely recognized benchmark for dollar-denominated syndicated or commercial real estate loans, or (d) the Federal Reserve Board, the Federal Reserve Bank of New York, the Alternative Reference Rates Committee ("ARRC") or any successor or similar authority has issued a recommendation or rule requiring the use of a replacement benchmark, then Lender and Borrower shall negotiate in good faith to amend this Agreement to replace Daily Simple SOFR with a successor rate and to make corresponding spread adjustments and mechanical changes. Any such amendment shall be consistent with the ARRC's recommended fallback language for commercial real estate loans (including the applicable hardwired waterfall and any recommended spread adjustment). Pending such amendment, Lender may determine an alternative rate in good faith on a commercially reasonable basis, and the rate so determined shall be the "Daily Simple SOFR" for so long as the circumstances described above continue.

2.7 Computation and Payment of Interest. Interest on the outstanding principal balance of the Loan shall accrue daily and shall be payable monthly in arrears on each Payment Date. During the Construction Period, and for so long as funds remain in the Interest Reserve Account, accrued interest shall be paid by debiting the Interest Reserve Account against the payment due; upon exhaustion of the Interest Reserve, all interest shall be paid by Borrower from its own funds (not from Loan or Mezzanine Loan proceeds) on each Payment Date. Promptly following each Payment Date, Lender shall provide Borrower with a statement showing the Interest Reserve balance, the interest accrued and paid, and the remaining projected interest cost through the Construction Maturity Date.

2.8 Default Rate. Upon the occurrence and during the continuance of an Event of Default, the outstanding principal balance of the Loan and, to the extent permitted by applicable law, all accrued and unpaid interest, fees and other amounts shall bear interest at the Default Rate. Interest at the Default Rate shall be payable on demand. Application of the Default Rate is not a waiver of any Event of Default and does not limit any other remedy of Lender.

2.9 Fees.

(a) **Origination Fee.** Borrower shall pay Lender a non-refundable origination fee of $475,000 (1.00% of the Commitment), payable at Closing; the portion of the Origination Fee not to exceed $475,000 may be funded from the Initial

Advance in accordance with the Approved Budget. [Note to Draft: the origination fee must be recalculated if the Commitment is reduced; at $45,360,000 the 1.00% fee would be $453,600 and Schedule 1.1 must be conformed.]

(b) **Exit Fee.** If the Loan is repaid (whether voluntarily, involuntarily or by acceleration, but excluding repayment from Insurance Proceeds or Condemnation Awards, repayment following an Event of Default caused by Lender, or repayment in connection with a refinancing described in Section 2.11(d)), Borrower shall pay Lender an exit fee equal to (i) 0.50% of the outstanding principal balance repaid at the time of repayment if such repayment occurs during the Construction Period, (ii) 0.25% of the outstanding principal balance repaid at the time of repayment if such repayment occurs during the first six months of the Mini-Perm Period, and (iii) zero if such repayment occurs thereafter. The Exit Fee is in addition to interest, the Origination Fee and all other amounts payable hereunder.

(c) **Unused Line Fee.** Borrower shall pay Lender a fee of 0.25% per annum on the average daily undrawn amount of the Commitment, payable quarterly in arrears commencing on the first quarterly date following the Closing Date and on each quarterly date thereafter until the Commitment is fully drawn or terminated; provided that no unused line fee shall be payable on any portion of the Commitment that is unavailable as a result of the LTC Availability limitation in Section 2.1(b). [Note to Draft: the Unused Line Fee is not a line item in the Approved Budget and must be funded by Borrower from sources other than Loan proceeds.)

(d) **Extension Fee.** Borrower shall pay the Extension Fee in accordance with Section 2.13.

(e) **Fees Earned.** All fees described in this Section 2.9 are fully earned when due and are non-refundable absent manifest error.

2.10 Interest Reserve Account.

(a) **Funding.** On the Closing Date, Lender shall fund the Interest Reserve of $4,850,000 to the Interest Reserve Account from the proceeds of the Initial Advance.

(b) **Use.** Funds in the Interest Reserve Account shall be used solely to pay interest accruing on the Loan during the Construction Period. No funds in the Interest Reserve Account may be applied to principal, fees, the Mezzanine Loan, Cost Overruns or any other purpose.

(c) **Adequacy Testing.** Lender shall test the adequacy of the Interest Reserve (i) at each Advance Request, comparing the remaining Interest Reserve balance to the projected interest cost through the earlier of the next anticipated draw date and the date ninety (90) days after the applicable Advance Request, and (ii) not less than quarterly during the Construction Period. Lender shall notify Borrower of any projected deficiency (an “Interest Reserve Deficiency”).

(d) **Replenishment.** Borrower shall fund any Interest Reserve Deficiency from its own funds (and not from Loan proceeds, Mezzanine Loan proceeds, the Equity Deposit or any other borrowed funds) within five (5) Business Days after written notice from Lender. No Advance shall be required to be made while any Interest Reserve Deficiency remains unfunded.

(e) **Exhaustion.** Upon exhaustion of the Interest Reserve, Borrower shall pay all interest from its own funds on each Payment Date as provided in Section 2.7, and the Carry Guaranty shall apply in accordance with Section 9.7(b).

(f) **Reconciliation.** Borrower shall deliver a monthly reconciliation of the Interest Reserve Account demonstrating the opening balance, interest debited, additional deposits and projected remaining interest cost through the Construction Maturity Date.

2.11 Prepayment.

(a) **Voluntary Prepayment.** Borrower may prepay the Loan in whole or in part at any time, without premium or penalty other than the Exit Fee (if applicable) and the Breakage Amount (if any), upon not less than five (5) Business Days' prior written notice to Lender. Partial prepayments shall be applied to the outstanding principal balance and shall not relieve Borrower of the obligation to pay interest and fees as they become due, and no amount so prepaid may be reborrowed.

(b) **Breakage.** Borrower shall reimburse Lender for any actual out-of-pocket loss or cost incurred as a result of a prepayment or failure to borrow on a scheduled date, calculated in good faith by Lender.

(c) **Application.** All prepayments shall be applied first to accrued and unpaid interest and fees, then to principal.

(d) **Permitted Refinancing.** Notwithstanding Section 7.3, Borrower may prepay the Loan in full in connection with a refinancing of the Loan with Lender or an Affiliate of Lender, or with a third-party lender approved by Lender, provided that no Event of Default exists and the Refinancing Conditions set forth in Section 7.3(d) are satisfied.

2.12 Mandatory Prepayment. Borrower shall prepay the Loan, without premium, penalty or Exit Fee, in the amounts and at the times required by Section 12.7 (Casualty and Condemnation) and by Section 8.3 (DSCR cure).

2.13 Maturity; Extension Option.

(a) **Construction Maturity Date.** The entire outstanding principal balance of the Loan, together with all accrued and unpaid interest, fees and other Obligations, shall be due and payable on the Construction Maturity Date, unless the Loan has been extended in accordance with this Section 2.13 or the Construction Maturity Date has been extended with Lender's prior written consent.

(b) **Automatic Extension into Mini-Perm Period.** If, on the Construction Maturity Date, (i) no Event of Default exists and no event has occurred

which, with notice or the passage of time or both, would constitute an Event of Default, (ii) Substantial Completion has been achieved, and (iii) Borrower has satisfied each condition set forth in Section 4.4 (or such conditions have been waived in writing by Lender), the Loan shall automatically convert to the Mini-Perm Period and the outstanding principal balance shall be due and payable on the Mini-Perm Maturity Date. If any such condition is not satisfied, the Loan shall be due and payable on the Construction Maturity Date.

(c) **Extension Option.** Borrower may, by written notice delivered to Lender not less than sixty (60) days and not more than one hundred eighty (180) days prior to the Mini-Perm Maturity Date, elect to extend the Mini-Perm Maturity Date by six (6) months to the Extended Maturity Date, provided that each of the following conditions is satisfied on the date of such notice and on the Mini-Perm Maturity Date: (i) no Event of Default exists and no event has occurred which, with notice or the passage of time or both, would constitute an Event of Default under the Loan Documents or the Intercreditor Agreement; (ii) Substantial Completion has been achieved and a final (not temporary) certificate of occupancy has been issued by the City of Durham for all residential units and retail space in the Project; (iii) not less than seventy-five percent (75%) of the residential units are leased to tenants under executed leases having initial terms of at least twelve (12) months and are physically occupied; (iv) the DSCR, calculated on the basis of actual trailing three-month annualized in-place NOI, is not less than 1.15x; (v) Borrower has paid the Extension Fee; (vi) Borrower has delivered evidence of an interest rate cap agreement for the extension period, with a strike rate and counterparty reasonably approved by Lender (minimum long-term unsecured rating of A- from S&P or A3 from Moody's), in form reasonably satisfactory to Lender; (vii) the Intercreditor Agreement remains in full force and effect and no default exists thereunder; (viii) Lender has received an updated appraisal from an MAI-certified appraiser reasonably acceptable to Lender confirming that the LTV based on the then-outstanding principal balance and the as-stabilized value does not exceed 70%; (ix) all representations and warranties in the Loan Documents remain true and correct in all material respects; and (x) the Guarantors have confirmed in writing the continued effectiveness of the Guaranties.

(d) **No Waiver.** Lender's acceptance of the Extension Fee or its failure to object to any notice shall not constitute a waiver of any unsatisfied condition.

2.14 Payments Generally. All payments shall be made in lawful money of the United States, in immediately available funds, to the account designated by Lender, not later than 2:00 p.m. Eastern Time on the due date. Any payment due on a day that is not a Business Day shall be made on the next succeeding Business Day, and interest shall accrue for the intervening period. Lender may, in its discretion, debit any payment due from any deposit account of Borrower maintained with Lender, including the Interest Reserve Account (subject to Section 2.10(b)).

2.15 Taxes and Regulatory Costs. Borrower shall pay all taxes (other than taxes based on Lender's net income), recording taxes and fees, and intangible taxes payable in connection with the Loan Documents. If any Requirement of Law (including any change in capital adequacy or liquidity requirements) imposes on Lender any increased cost or reduces any amount received by Lender in respect of the Loan, Borrower shall pay Lender such additional amounts as are necessary to compensate Lender for such increased cost or reduction, within ten (10) Business Days of written demand accompanied by a reasonably detailed calculation.

2.16 Usury Savings. Notwithstanding anything to the contrary, no provision of the Loan Documents shall require the payment or permit the collection of interest in excess of the Maximum Lawful Rate. If any amount in excess of the Maximum Lawful Rate would otherwise be payable, the rate shall be reduced to the Maximum Lawful Rate and any amount previously paid in excess shall be credited to principal (or, if principal has been repaid in full, refunded to Borrower). [Note to Draft: Lender's counsel is to confirm compliance with N.C.G.S. Chapter 24 in light of the Default Rate, which could reach approximately SOFR + 8.50%.]

2.17 Loan Account. Lender shall maintain a loan account on its books recording all Advances, interest accruals, payments and fees. Lender's records shall be presumed accurate absent manifest error; provided that the failure to record any item shall not limit Borrower's obligations.

ARTICLE III — CONDITIONS PRECEDENT TO CLOSING

The obligation of Lender to make the Initial Advance is subject to the prior or simultaneous satisfaction (or written waiver by Lender) of each of the following conditions, each in form and substance satisfactory to Lender and its counsel:

3.1 Loan Documents. Execution and delivery of each of the Loan Documents, including this Agreement, the Note, the Deed of Trust (in recordable form), the Assignment of Rents, the Security Agreement and UCC-1 financing statements, the Collateral Assignments, the Pledge Agreements (accompanied by certificates evidencing the Pledged Interests, if certificated), the Completion Guaranty, the Carry Guaranty, the Partial Repayment Guaranty, the Environmental Indemnity and the Intercreditor Agreement, each duly authorized, executed, acknowledged and, where applicable, delivered for recording.

3.2 Entity and Authorization Matters. Delivery of (a) certificates of good standing (or existence) for Borrower and each entity Member issued by the North Carolina Secretary of State within thirty (30) days prior to the Closing Date; (b) certified copies of the articles of organization and the operating agreement of Borrower, as amended and restated to include (i) the Single-Purpose Entity covenants described in Section 6.9, (ii) the independent manager provisions described in Section 6.9(l), (iii) a provision permitting the pledge of 100% of the membership interests to Lender and, on a subordinate basis, to Mezzanine Lender, (iv) a provision requiring Lender's prior written consent to any amendment of the major-decision provisions that would impede a refinancing or repayment of the Loan, and (v) an express election that the membership interests be, and be treated

as, securities governed by Article 8 of the UCC, with the membership interests certificated; (c) resolutions or written consents of all Members authorizing the Loan, the Loan Documents, the Pledge Agreements and the transactions contemplated hereby; and (d) such other certificates and documents as Lender may reasonably require.

3.3 Financial Conditions; Equity Deposit. (a) Delivery of the Equity Deposit to the Equity Escrow Account in accordance with Section 4.8, together with (i) evidence satisfactory to Lender that the source of the Equity Deposit is not the Mezzanine Loan, any Affiliate of Mezzanine Lender, Brightleaf Investors Group LLC, Thomas R. Chen or any entity under common control with any of them, and is not borrowed funds, and (ii) a certification from the Managing Member that the Equity Deposit represents funds independently derived and not subject to repayment or reimbursement from any source. (b) Delivery of a corrected, reconciled sources and uses statement and a closing flow of funds approved by Lender, demonstrating no disbursement to any Member or Affiliate other than Eligible Costs approved by Lender. (c) Delivery of current financial statements of Borrower and each Guarantor, together with a certificate of the Managing Member as to Borrower Net Worth and the combined liquidity of the Guarantors.

3.4 Third-Party Reports. (a) The Appraisal, together with Lender’s internal appraisal review memorandum confirming compliance with the applicable requirements of the FIRREA appraisal regulations; (b) the Phase I ESA, together with a reliance letter from Sentinel Environmental Consulting LLC addressed to Lender and its successors, assigns and participants, dated not more than thirty (30) days prior to the Closing Date (or confirmation that the Phase I ESA remains within its 180-day AAI shelf life under 40 C.F.R. § 312.20(c)); (c) the Phase II Environmental Site Assessment report (Sentinel Project No. SEC-2024-1089) and the remediation completion report; (d) a copy of the NFA Letter and evidence of compliance with each of its conditions, including the recorded deed notice described in Section 3.6(c); and (e) a construction monitoring report and budget review from the Construction Consultant.

3.5 Title, Survey and Zoning. (a) The Title Policy (or a pro forma Title Policy or “marked-up” commitment) in the amount of the Commitment, insuring the Deed of Trust as a first-priority lien on the Property subject only to the Permitted Exceptions and including the endorsements listed in Schedule 9.1; (b) evidence of the release, satisfaction or recording of a payoff and cancellation of the deed of trust recorded in Book 6215, Page 892, Durham County Registry, in favor of Triangle Commercial Bank (original principal amount $3,400,000), pursuant to a payoff letter dated not more than thirty (30) days prior to the Closing Date; (c) the Survey, certified and dated (or re-certified) within ninety (90) days prior to the Closing Date, depicting the Affected Area, the easement areas, all improvements, and no encroachments; (d) evidence of the deletion of the standard survey exceptions; (e) a zoning compliance letter from the City of Durham confirming that the Project is permitted as of right in the MU-D district with the unit count, retail square footage, height, density, parking and floor area ratio contemplated by the Approved Plans; and (f) evidence that the ARC has approved the Approved Plans or

that the applicable review period has lapsed (deemed approval), in each case as required by Article V of the CC&Rs.

3.6 Environmental Conditions. (a) Evidence satisfactory to Lender that the soil vapor mitigation system required by Condition 1 of the NFA Letter is incorporated into the Approved Plans and the Construction Contract and is funded in the Approved Budget; (b) evidence of NCDEQ's approval of the soil management plan required by Condition 3 of the NFA Letter, or a written confirmation from NCDEQ that such approval may be obtained prior to commencement of subsurface disturbance in the Affected Area (in which case delivery of such approval shall be a condition to the first Advance for work in the Affected Area); (c) evidence that the deed notice required by Condition 4 of the NFA Letter has been recorded in the Durham County Registry of Deeds within the time required by the NFA Letter, together with a copy of the recorded instrument, and that the Title Policy does not except to any environmental use restriction other than as approved by Lender in writing; and (d) a written determination from environmental counsel reasonably acceptable to Lender as to the permissibility of the proposed residential occupancy (including all common areas and amenity spaces) of the area above the Affected Area under the NFA Letter and applicable Environmental Laws, together with either (i) a modification of the NFA Letter issued by NCDEQ permitting such residential use subject to the vapor mitigation system, or (ii) a redesign of the Approved Plans eliminating residential occupancy above the Affected Area, or (iii) such other resolution as Lender may approve in writing.

3.7 Construction Documents. Execution and delivery of the Construction Contract and the Architect Agreement, each in form and substance satisfactory to Lender, together with (a) Lender's review and approval of the Construction Documents and the Approved Plans, (b) the Construction Consultant's approval of the Guaranteed Maximum Price and construction schedule, and (c) evidence of the Contractor's financial capacity and payment and performance bonding capacity reasonably satisfactory to Lender (including a bonding commitment or letter of intent in an amount not less than the Guaranteed Maximum Price, or such other credit support as Lender may approve).

3.8 Insurance. Delivery of certificates of insurance and endorsements evidencing all insurance required by Article XII, naming Lender as mortgagee, loss payee and additional insured as applicable, with no less than thirty (30) days' notice of cancellation.

3.9 Intercreditor Agreement. Execution and delivery of the Intercreditor Agreement, which shall be a non-waivable condition to the Initial Advance and to each subsequent Advance.

3.10 Legal Opinions. Delivery of opinions of Borrower's counsel (Calloway & Strauss PLLC) addressed to Lender, in form and substance satisfactory to Lender and its counsel, as to (a) the due organization, valid existence and good standing of Borrower and the entity Member, (b) due authorization, execution and delivery, (c) enforceability of the Loan Documents, (d) the creation and perfection of the Liens granted to Lender, (e) the non-consolidation of Borrower with any Member,

Affiliate or related entity (the "Non-Consolidation Opinion"), and (f) such other matters as Lender may reasonably request.

3.11 Fees and Expenses. Payment of the Origination Fee and reimbursement of Lender's costs and expenses in accordance with Section 16.4, after application of the expense deposit of $75,000 paid pursuant to the Term Sheet.

3.12 No Default; No Material Adverse Effect. No Event of Default or event that with notice or lapse of time or both would constitute an Event of Default shall exist, and no Material Adverse Effect shall have occurred, including any material adverse change in the financial condition of Borrower or either Guarantor, in the condition of the Property, or in the downtown Durham multifamily market.

3.13 Prior Liens and Work. Delivery of (a) an owner's and contractor's affidavit and "no work" affidavit confirming that no work has been performed on the Property and no materials have been furnished to the Property other than work for which final unconditional lien waivers have been delivered, and (b) final unconditional lien waivers and releases (in the statutory form under N.C.G.S. Chapter 44A) from the Contractor, all subcontractors and materialmen, the demolition contractor, the environmental remediation contractor and all other Persons who have furnished labor or materials to the Property, in each case sufficient to establish the priority of the Deed of Trust over all mechanics' and materialmen's liens, including any lien that would relate back to first furnishing under N.C.G.S. § 44A-10.

3.14 Fair Consideration; Solvency. Delivery of a solvency certificate confirming that, immediately after giving effect to the Loan, Borrower and each Guarantor (a) is able to pay its debts as they become due, (b) has assets with a fair saleable value in excess of its liabilities, and (c) has adequate capital for the business in which it is engaged.

3.15 Waiver. No waiver of any condition shall be effective unless in writing signed by Lender, and no waiver of a condition to the Initial Advance shall constitute a waiver of the same condition as it applies to any subsequent Advance. Failure by Lender to insist upon strict satisfaction of any condition shall not excuse it as to any other Advance.

ARTICLE IV — ADVANCES

4.1 Advances Generally; Advance Requests.

(a) Borrower may request an Advance not more than once per calendar month (other than the Final Advance, which may be requested at any time after Substantial Completion), by delivering to Lender an Advance Request not less than ten (10) Business Days prior to the requested funding date. Lender shall use commercially reasonable efforts to fund each conforming Advance Request within ten (10) Business Days after Lender's receipt of a complete Advance Request and all supporting materials. Lender's review period shall not commence until the Advance Request is complete in all respects.

(b) Each Advance Request shall (i) state the requested funding date and amount, (ii) identify the applicable milestone in the Approved Draw Schedule and the Approved Budget line items to which the Advance will be applied, (iii) be accompanied by the documentation required by Section 4.2, and (iv) be accompanied by an updated budget reconciliation demonstrating that the undisbursed Commitment, the undisbursed Equity Deposit and available Contingency are sufficient to complete the Project in accordance with the Approved Plans.

(c) Advances shall be funded directly to Borrower's operating account or, at Lender's election and to the extent permitted by applicable law, directly to the Contractor, the Architect, the Title Company or other payees, subject to receipt of conditional lien waivers as required by Section 4.9.

4.2 Conditions to Each Advance. The obligation of Lender to make any Advance (including the Initial Advance and the Final Advance) is subject to satisfaction of the following conditions as of the funding date:

(a) no Event of Default exists and no event has occurred which, with notice or lapse of time or both, would constitute an Event of Default;

(b) all representations and warranties in the Loan Documents are true and correct in all material respects as of the funding date (except to the extent expressly made as of an earlier date);

(c) Lender has received a satisfactory report from the Construction Consultant confirming the percentage of completion of the applicable milestone and the adequacy of remaining funds to complete the Project;

(d) Lender has received a completed AIA Application and Certificate for Payment (Form G702) and Continuation Sheet (Form G703), certified by the Architect and the Contractor;

(e) Lender has received conditional lien waivers in the statutory form under N.C.G.S. Chapter 44A from the Contractor, all subcontractors and all materialmen for work performed and materials furnished through the date of the Advance Request (with the understanding that such conditional waivers become effective upon payment);

(f) Lender has received a title date-down endorsement from the Title Company confirming that the Deed of Trust remains a first-priority lien on the Property, free of any intervening Liens, mechanics' liens or title defects;

(g) the Interest Reserve adequacy test in Section 2.10(c) has been satisfied, or any Interest Reserve Deficiency has been funded;

(h) the requirement of Section 4.8 (Equity First) has been satisfied;

(i) Lender has received evidence that all insurance required by Article XII remains in full force and effect;

(j) no Material Adverse Effect has occurred since the Closing Date or the most recent Advance, as applicable;

(k) Borrower has delivered a Compliance Certificate and a certification that no default exists and that all representations and warranties remain true and correct in all material respects;

(l) in the case of any Advance for work in, over or adjacent to the Affected Area, Borrower has satisfied the conditions set forth in Section 6.4(e); and

(m) Lender has received such other certificates, lien waivers, invoices, contracts, permits, inspections and other information as Lender may reasonably request.

4.3 Hard Cost Advances; Retainage; Milestones.

(a) Hard Costs shall be advanced in accordance with the milestone schedule in Schedule 1.2, as verified by the Construction Consultant. Each Hard Cost Advance shall be made in an amount equal to ninety percent (90%) of the Hard Costs attributable to the completed milestone, with the balance (the Retainage) withheld and retained by Lender.

(b) Retainage shall be held by Lender (or, at Lender's election, by the Title Company in a construction escrow) and shall not be disbursed to Borrower or the Contractor until satisfaction of each condition set forth in Section 4.4.

(c) The cumulative percentage of completion set forth in Schedule 1.2 is approved by Lender for purposes of the milestone Advances. Borrower may not request an Advance for a milestone that has not been completed and verified. Lender may, in its reasonable discretion and upon the Construction Consultant's recommendation, permit early or partial funding of a milestone where the work is substantially complete, subject to appropriate adjustment of subsequent Advances.

(d) The aggregate gross Hard Costs funded through the Advances (before deduction of Retainage) shall not exceed the Guaranteed Maximum Price of $34,750,000, as adjusted only by Change Orders approved in accordance with Section 4.12.

(e) If the Construction Consultant determines that the cost to complete any unfinished trade or line item exceeds the remaining funds allocated to that trade or line item in the Approved Budget, Lender may reallocate available Contingency to that line item, and Borrower shall fund any remaining deficiency as a Cost Overrun in accordance with Section 4.7(c).

4.4 The Final Advance (Retainage Release). The Final Advance, consisting of the release of Retainage in the aggregate amount of $3,475,000 (being 10% of the Guaranteed Maximum Price) together with any then-unfunded Developer Fee and Contingency amounts approved by Lender, shall be made only upon satisfaction of each of the following conditions in addition to the conditions in Section 4.2:

(a) Substantial Completion has been achieved and a final certificate of occupancy has been issued by the City of Durham for all residential units and retail space in the Project;

(b) the Architect has delivered a certificate of final completion;

(c) Borrower has delivered final, unconditional lien waivers and releases (in statutory form under N.C.G.S. Chapter 44A) from the Contractor, all subcontractors and all materialmen;

(d) either (i) the period for filing claims of lien under N.C.G.S. Chapter 44A has expired without any claim of lien having been filed, or (ii) any claim of lien filed has been fully bonded off or otherwise removed of record in a manner satisfactory to Lender and the Title Company;

(e) the Title Company has issued a final date-down endorsement confirming no mechanics' liens and no other intervening Liens;

(f) as-built drawings, the Contractor's warranty documentation, all operating manuals, and all certificates of occupancy have been delivered to Lender;

(g) the conditions of the NFA Letter requiring submission of as-built drawings and a system performance verification report for the soil vapor mitigation system within ninety (90) days of completion of the building foundation in the Affected Area have been satisfied, and evidence of such submission has been delivered to Lender; and

(h) Borrower has paid all costs of completion in excess of the Loan proceeds.

4.5 Soft Cost Advances. Soft Costs shall be advanced in accordance with Schedule 1.2 and the Approved Budget, upon presentation of invoices (or, for costs not yet invoiced, upon reasonable evidence of the obligation), and shall not exceed the amounts allocated to each soft cost line item in the Approved Budget without Lender's prior written consent. The Initial Advance shall fund the soft costs identified in Schedule 1.2. Borrower's legal fees and Lender's legal fees shall be funded only in accordance with the amounts set forth in the Approved Budget.

4.6 Funding of the Interest Reserve. The Interest Reserve shall be funded in full on the Closing Date from the Initial Advance to the Interest Reserve Account and shall be administered in accordance with Section 2.10. Funds in the Interest Reserve Account shall not be commingled with any other funds of Borrower and shall not constitute a compensating balance or be subject to any setoff by Borrower.

4.7 Approved Budget; Contingency; Cost Overruns.

(a) **Line Item Limits.** Advances for each line item in the Approved Budget shall not exceed the amount allocated to that line item without Lender's prior written consent.

(b) **Reallocations.** Borrower may reallocate amounts among line items within the same major cost category (land, hard costs, soft costs, financing costs, developer fee, contingency) with Lender's prior written consent, which consent shall not be unreasonably withheld for reallocations that do not increase Total Project Costs. Any reallocation that increases the Developer Fee, or that increases Total Project Costs, requires Lender's prior written consent in its sole discretion and, if it increases Total Project Costs, will increase the LTC Availability accordingly only if approved by Lender.

(c) **Cost Overruns.** Borrower shall fund all Cost Overruns from its own funds (and not from the proceeds of the Loan or the Mezzanine Loan) within ten (10) Business Days after Lender's written demand or, if earlier, before Lender is requested to make any further Advance that would otherwise be applied to the over-budget line item. Lender shall have no obligation to make any Advance while any Cost Overrun remains unfunded.

(d) **Contingency Use.** Contingency may be applied only with Lender's prior written consent and only to Eligible Costs. The Contingency may not be used to fund any Developer Fee, any Distribution or any Cost Overrun attributable to Borrower's or the Contractor's default.

(e) **Developer Fee.** The Developer Fee shall be paid only in accordance with Section 7.4 and only to the extent funded from the Commitment (and not from the Equity Deposit), in amounts approved by Lender, and in no event prior to Substantial Completion other than [50%] upon the Construction Consultant's confirmation that the Project is at least 90% complete. [Note to Draft: the Term Sheet is silent as to timing; Lender's credit approval contemplates that the Developer Fee is deferred. See Cover Memorandum, Issue 8.]

4.8 Equity First; Equity Deposit.

(a) **Deposit.** Concurrently with the Closing, Borrower shall deposit the Equity Deposit in the amount of $2,140,000 into the Equity Escrow Account.

(b) **Application.** Funds in the Equity Escrow Account shall be applied, before any Advance other than the Initial Advance, to Eligible Costs constituting Hard Costs and Soft Costs (and not to the Developer Fee, the Interest Reserve, the Origination Fee or any Distribution) in the order and amounts set forth in Schedule 1.2.

(c) **Replenishment Prohibited.** The Equity Deposit may not be replenished from Loan proceeds, Mezzanine Loan proceeds, cash flow from the Project or any borrowed funds.

(d) **LTC Maintenance.** Borrower acknowledges that the Equity Deposit is required so that the aggregate Advances do not exceed the LTC Availability of $45,360,000 based on Total Project Costs of $56,700,000 (i.e., LTC of 80.00%). If Total Project Costs are reduced, the required Equity Deposit shall be increased (or the Commitment reduced) such that the LTC does not exceed 80.00% at any time.

(e) **Return.** Any unapplied funds in the Equity Escrow Account shall be returned to Borrower (i) upon completion of the Project and satisfaction of the conditions in Section 4.4, provided no Default exists, or (ii) upon repayment in full of the Obligations.

(f) **Character.** The Equity Deposit is not a reserve for Lender's benefit, is not collateral, and shall not be applied to the Obligations except as provided in Section 4.8(g).

(g) **Application to Deficiency.** Upon the occurrence and during the continuance of an Event of Default, Lender may, at its election, apply any remaining Equity Deposit to any of the Obligations or to the costs of completing the Project.

4.9 Lien Waivers. Borrower shall obtain, and cause the Contractor to obtain, from each subcontractor and materialman, conditional lien waivers with each Advance Request and final unconditional lien waivers at final payment, in each case in the statutory form prescribed by N.C.G.S. § 44A-13 (for contractors) and § 44A-14 (for subcontractors) or in such other form as Lender may approve. Borrower shall not permit any lien to be filed against the Property and shall cause any lien so filed to be discharged, bonded off or otherwise removed of record within ten (10) Business Days after Borrower receives notice of it.

4.10 Title Date-Down. Borrower shall cause the Title Company to deliver a date-down endorsement with each Advance Request, at Borrower's expense, and shall cause the Title Policy to be updated to reflect the state of title through the date of each Advance. If any date-down discloses an intervening Lien not approved by Lender, Lender may suspend Advances until the Lien is removed.

4.11 Construction Consultant. Lender shall engage the Construction Consultant, at Borrower's expense in accordance with the Approved Budget, to (a) review the Approved Plans, the Guaranteed Maximum Price and the construction schedule prior to Closing, (b) inspect the Project and certify milestone completion and the percentage of completion prior to each Hard Cost Advance, (c) review the reasonableness of the construction schedule and the cost to complete, and (d) deliver such other reports as Lender may reasonably request. Borrower shall provide the Construction Consultant with full access to the Property, the Construction Documents and the Contractor's personnel and records.

4.12 Change Orders. Borrower shall deliver to Lender, promptly upon execution, a copy of each Change Order. No Change Order that (a) increases the Guaranteed Maximum Price, (b) individually or in the aggregate with all other Change Orders exceeds $250,000, (c) reduces the scope, quality or quantity of the work in any material respect, (d) affects the structural, mechanical, electrical, plumbing, envelope or life-safety systems, (e) affects the soil vapor mitigation system or any work in the Affected Area, (f) affects any element of the Project subject to ARC review, or (g) would cause the Project to fail to comply with the Approved Plans, the CC&Rs, applicable zoning or any Requirement of Law, shall be effective without Lender's prior written consent. Lender may condition consent on a corresponding increase in the Equity Deposit or Borrower-funded Cost Overrun.

4.13 Suspension and Termination of Advances. Lender may suspend, terminate or condition any Advance if (a) any condition in Section 4.2 is not satisfied, (b) Lender reasonably determines that the undisbursed Commitment, the undisbursed Equity Deposit and available Contingency are insufficient to complete the Project, (c) an Event of Default has occurred, (d) any material permit, approval, environmental condition or ARC approval is revoked, suspended or challenged, or (e) Lender reasonably determines that the Project is not being constructed in

accordance with the Approved Plans or the construction schedule. Suspension of Advances shall not constitute a waiver of any Event of Default or a breach by Lender.

4.14 No Obligation to Inspect; No Liability. Lender's inspections, the Construction Consultant's reports and Lender's review of the Construction Documents are for Lender's own protection only. Neither Lender nor the Construction Consultant assumes any obligation to Borrower, the Contractor, any subcontractor, any tenant or any other Person with respect to the adequacy, quality, timeliness or cost of construction, the solvency of the Contractor, or compliance with the Approved Plans or applicable law. Borrower acknowledges that Borrower, the Architect and the Contractor are solely responsible for the design, construction, completion and cost of the Project.

4.15 Reaffirmation. The submission of each Advance Request shall constitute a reaffirmation by Borrower and each Guarantor that all representations and warranties in the Loan Documents are true and correct in all material respects as of the date of the Advance Request and that no Event of Default exists.

4.16 Use of Proceeds; Prohibited Distributions. Borrower shall not, and shall cause the Contractor and the Architect not to, apply any Loan proceeds to any purpose other than Eligible Costs. Without limiting Section 2.2, Borrower shall not use any Loan proceeds, Mezzanine Loan proceeds, Equity Deposit or Project cash flow to (a) pay any Distribution, (b) reimburse any Member for the land acquisition cost or any other capital contribution, (c) repay the Triangle Commercial Bank indebtedness, or (d) pay any cost not included in the Approved Budget, in each case without Lender's prior written consent.

ARTICLE V — REPRESENTATIONS AND WARRANTIES

Borrower and each Guarantor, jointly and severally, represent and warrant to Lender as of the Closing Date and as of the date of each Advance (except as to any representation expressly made as of a specified date) as follows:

5.1 Organization; Authority. Borrower is a limited liability company duly organized, validly existing and in good standing under the laws of the State of North Carolina, has full power and authority to own the Property, to conduct its business, to execute and deliver the Loan Documents and to perform its obligations thereunder. Each Member that is an entity is duly organized, validly existing and in good standing under the laws of its state of organization. Each Guarantor is an individual of full legal age and capacity with the power to execute and deliver the Guaranties. Each entity party has taken all necessary action to authorize the Loan Documents, and no consent of any Person is required that has not been obtained, except as disclosed to Lender in writing.

5.2 Enforceability. The Loan Documents constitute the legal, valid and binding obligations of Borrower and each Guarantor, enforceable in accordance with their terms, except as affected by applicable bankruptcy, insolvency, reorganization, moratorium and similar laws affecting creditors' rights generally and by general principles of equity.

5.3 Capital Structure; Members. The Members of Borrower and their respective membership interests are as set forth in Schedule 1.5. There are no other members, no options, warrants, convertible instruments, profits interests, phantom equity or other rights to acquire any membership interest in Borrower, and no voting agreements or proxy arrangements, other than as disclosed in the operating agreement delivered to Lender. Borrower has no subsidiaries and owns no equity interest in any other Person. Each membership interest has been validly issued and is fully paid and non-assessable in accordance with the operating agreement.

5.4 Title; Liens. Borrower is the sole fee simple owner of the Property. The Deed of Trust, when recorded, will constitute a valid first-priority Lien on the Property, subject only to the Permitted Exceptions. Borrower has good and marketable title to all personal property collateral, free and clear of all Liens other than those in favor of Lender and Permitted Exceptions. Except as disclosed in the Title Commitment, there is no pending or, to Borrower's knowledge, threatened Condemnation affecting the Property.

5.5 Litigation. There is no action, suit, proceeding, arbitration, investigation or governmental inquiry pending or, to Borrower's or any Guarantor's knowledge, threatened against Borrower, any Guarantor, any Member, the Property or the Project that (a) could reasonably be expected to result in a Material Adverse Effect, (b) relates to the environmental condition of the Property, (c) challenges the zoning, entitlements, permits or ARC approval for the Project, or (d) relates to the Loan Documents. Neither Borrower nor any Guarantor is in default under any judgment, order or decree of any Governmental Authority.

5.6 Financial Statements; Solvency. The financial statements of Borrower and each Guarantor delivered to Lender (including the personal financial statements of the Guarantors dated December 15, 2024 and December 18, 2024) are true, complete and correct in all material respects and fairly present the financial condition of the respective Persons as of the dates thereof and the results of operations for the periods then ended. There has been no material adverse change in the financial condition of Borrower or either Guarantor since the dates of such statements. Borrower and each Guarantor are solvent and will be solvent immediately after giving effect to the Loan and the application of its proceeds.

5.7 Compliance with Laws; Zoning; Permits. The Property and the Project comply, and after completion will comply, in all material respects with all Requirements of Law, including all zoning, building, fire, life-safety, accessibility and Environmental Laws. The Property is zoned MU-D (Mixed Use — Downtown) under the City of Durham Unified Development Ordinance, and the Project as designed is permitted as of right without any variance, special use permit, conditional zoning or other discretionary approval. Borrower has obtained or will obtain prior to the applicable stage of construction all permits, approvals and entitlements necessary for the construction and occupancy of the Project.

5.8 Environmental Matters. Except as disclosed in the Phase I ESA and the Phase II Environmental Site Assessment, (a) the Property is free of Hazardous Materials and there has been no release or threatened release of Hazardous

Materials at, on, under or from the Property; (b) neither Borrower nor any Member or Affiliate has received any notice of violation, claim, demand, order or directive relating to Environmental Laws or Hazardous Materials; (c) the Property is not listed on any federal or state environmental database other than as disclosed in the Phase I ESA; and (d) there are no underground storage tanks, sumps, dry wells, septic systems or landfills on the Property other than those identified and closed or removed in accordance with Environmental Laws. With respect to the Affected Area: (i) the NFA Letter is in full force and effect and has not been modified, withdrawn, rescinded or conditioned further by NCDEQ; (ii) all conditions of the NFA Letter applicable as of the date hereof have been satisfied, including the recording of the deed notice; (iii) no residential occupancy is, or will be, permitted in the Affected Area except as approved in writing by NCDEQ; (iv) Borrower has complied with the soil management plan and all reporting obligations under the NFA Letter; and (v) residual contamination remains in place in the Affected Area at concentrations above NCDEQ residential soil screening levels, and Borrower has disclosed to Lender all information in its possession regarding such contamination.

5.9 Construction Documents and Plans. Borrower has delivered to Lender true and complete copies of the Construction Contract, the Architect Agreement, the Approved Plans and all material Construction Documents. The Guaranteed Maximum Price is $34,750,000. The Construction Contract and the Architect Agreement are in full force and effect, neither Borrower nor, to Borrower's knowledge, the Contractor or the Architect is in default thereunder, and Borrower has not assigned or pledged any interest therein other than to Lender. The Approved Plans comply with the CC&Rs, applicable zoning and building codes, the requirements of the NFA Letter and the soil management plan.

5.10 Insurance. Borrower maintains, and will maintain, all insurance required by Article XII, and each policy is in full force and effect with premiums paid current.

5.11 Taxes. All federal, state and local tax returns and reports of Borrower and each Guarantor required to be filed have been filed, and all taxes shown to be due have been paid. All real property taxes, special assessments and governmental charges affecting the Property for the 2024 tax year have been paid in full.

5.12 Other Agreements; No Default. Neither Borrower nor any Guarantor is in default under any material agreement, instrument, judgment, order or obligation, including the Construction Contract, the Architect Agreement, the operating agreement, the Mezzanine Loan Documents and the Intercreditor Agreement. The execution and performance of the Loan Documents do not violate or constitute a default under any such agreement or any Requirement of Law.

5.13 Single-Purpose Entity; Separateness. Borrower is, and has at all times since its formation been, a single-purpose entity that (a) owns no assets other than the Property and Project-related assets, (b) has incurred no Indebtedness other than the Loan, the Mezzanine Loan and trade payables incurred in the ordinary course of business, (c) has conducted no business other than the acquisition, development, construction, ownership, leasing and operation of the Project, (d) has maintained its own books, records, bank accounts and financial statements

separate from those of its Members and Affiliates, and (e) has not commingled its funds with those of any other Person. Borrower acknowledges that Lender is relying on Borrower's separate existence and identity in making the Loan. [Note to Draft: this representation will not be true as of Closing unless the operating agreement is amended and the Members' prior funding practices are conformed; see Cover Memorandum, Issue 12.]

5.14 Guaranties. Each Guaranty has been duly authorized, executed and delivered, is in full force and effect, and constitutes the legal, valid and binding obligation of each Guarantor, enforceable in accordance with its terms. There is no defense, counterclaim, setoff or basis for rescission or revocation of any Guaranty. The Guaranties are not subject to any condition precedent, and no Guarantor has any claim against Borrower that could be asserted as a defense.

5.15 Mezzanine Loan Documents. Borrower has delivered to Lender true and complete copies of the Mezzanine Loan Documents. The Mezzanine Loan is in the original principal amount of $9,200,000, bears interest at 12.50% per annum and matures coterminously with the Loan. The Mezzanine Loan Documents have not been amended, and no default exists thereunder. The Mezzanine Loan is secured solely by a pledge of the Pledged Interests (subordinated to Lender's pledge pursuant to the Intercreditor Agreement) and not by any Lien on the Property.

5.16 Disclosure. No representation, warranty, certificate or written statement furnished by Borrower or any Guarantor to Lender in connection with the Loan (including the sources and uses statement, the Approved Budget, the organizational chart and entity materials delivered by Borrower's counsel, and the draw schedule) contains any untrue statement of material fact or omits to state any material fact necessary to make the statements contained therein not misleading. Borrower has disclosed to Lender all matters known to it that could reasonably be expected to result in a Material Adverse Effect.

5.17 Anti-Money Laundering; Sanctions; Beneficial Ownership. Neither Borrower, any Guarantor nor any Member is (a) a Person named on the Specially Designated Nationals and Blocked Persons List maintained by the U.S. Department of the Treasury's Office of Foreign Assets Control, (b) operating, organized or resident in a country or territory subject to comprehensive sanctions, or (c) an entity owned or controlled by any such Person. Borrower shall deliver, and cause its beneficial owners to deliver, on request, all information required under Lender's customer due diligence and beneficial ownership procedures, including in accordance with 31 C.F.R. § 1010.230.

5.18 Survival and Reaffirmation. The representations and warranties in this Article V shall survive the Closing and the making of each Advance and shall be deemed remade as of the date of each Advance Request and each Advance. Each Advance Request shall constitute a reaffirmation of all representations and warranties.

ARTICLE VI — AFFIRMATIVE COVENANTS

Until the Obligations are paid in full and the Loan Documents have been terminated, Borrower shall, and shall cause each Guarantor (as to Sections 6.4, 6.8, 6.9 and 6.10) to, comply with the following:

6.1 Completion of the Project. Borrower shall complete the Project in accordance with the Approved Plans, the Approved Budget and the construction schedule, lien-free (except for the Permitted Exceptions and Liens in favor of Lender), on or before the Construction Maturity Date, and shall cause Substantial Completion to be achieved and a final certificate of occupancy to be issued for all residential units and retail space. Borrower shall keep Lender reasonably informed of the progress of construction and shall promptly notify Lender of any event that could reasonably be expected to delay Substantial Completion beyond the scheduled date in the Approved Draw Schedule by more than fifteen (15) days.

6.2 Construction in Accordance with Plans. Borrower shall construct the Project in accordance with the Approved Plans and the Construction Contract, shall not permit any material deviation from the Approved Plans, and shall obtain Lender's prior written consent to any Change Order requiring consent under Section 4.12. Borrower shall not permit the Approved Plans to be amended in any manner that would reduce the quality or quantity of the work, the unit count (212 units), the retail square footage (18,400 square feet) or the parking count (276 spaces) without Lender's prior written consent.

6.3 Compliance with Laws and Permits. Borrower shall comply in all material respects with all Requirements of Law, including all building, fire, life-safety, accessibility, zoning and Environmental Laws, and shall maintain in full force and effect all permits, approvals and entitlements required for the construction and occupancy of the Project. Borrower shall deliver copies of all material permits and governmental correspondence to Lender promptly upon receipt.

6.4 Environmental Covenants. Borrower shall:

(a) comply with all Environmental Laws and with each condition, restriction and reporting obligation of the NFA Letter, including (i) the design, installation, operation and maintenance of the passive sub-slab depressurization soil vapor mitigation system (with active conversion capability) beneath all enclosed structures constructed over the Affected Area, (ii) submission of as-built drawings and a system performance verification report to NCDEQ within ninety (90) days after completion of the building foundation in the Affected Area, (iii) implementation of, and compliance with, the NCDEQ-approved soil management plan for all excavation, grading and soil disturbance in the Affected Area, and (iv) maintenance of the recorded deed notice and the land use restriction of record;

(b) not permit any residential occupancy (including any residential unit, common area, amenity space or other occupied space intended for residential use) in the Affected Area, or in any structure constructed over the Affected Area, unless and until NCDEQ has issued a written modification

of the NFA Letter expressly permitting such use and Lender has consented in writing;

(c) not conduct any excavation, grading, soil disturbance, dewatering or construction activity in the Affected Area until the soil management plan has been approved by NCDEQ (or NCDEQ has confirmed in writing that such approval is not required);

(d) provide Lender with (i) copies of all correspondence, submissions and reports to or from NCDEQ relating to the Property, promptly upon delivery or receipt, (ii) an annual certification of compliance with the NFA Letter, and (iii) evidence of the installation and ongoing maintenance of the soil vapor mitigation system in accordance with NCDEQ requirements;

(e) satisfy, prior to the first Advance for work in, over or adjacent to the Affected Area, each condition set forth in Section 3.6 and Schedule 1.4;

(f) not permit any Hazardous Materials to be brought onto, stored, used, generated, released or disposed of at the Property, except in the ordinary course of construction in compliance with Environmental Laws and the soil management plan;

(g) promptly (and in any event within five (5) Business Days) notify Lender of any release, threatened release, notice of violation, order, directive, information request, claim or lien relating to Hazardous Materials or Environmental Laws affecting the Property, and deliver copies of all related documentation;

(h) undertake and diligently complete, at Borrower's sole cost (and, if required by Lender, in consultation with environmental counsel and consultants reasonably acceptable to Lender), any investigation, remediation, removal, monitoring, mitigation or response action required by any Governmental Authority or reasonably determined by Lender to be necessary to maintain compliance with Environmental Laws or the NFA Letter; and

(i) permit Lender and its environmental consultants to inspect the Property, review monitoring and system performance data, and conduct such sampling, testing and Phase I or Phase II assessments as Lender may reasonably require from time to time (not more frequently than annually absent an Event of Default or a reasonable basis for concern), at Borrower's expense up to $35,000 per assessment.

Notwithstanding anything to the contrary, Borrower shall not be required to undertake any action under Section 6.4(h) that would materially and adversely affect the Project without Lender's prior written approval of the scope, schedule and cost thereof.

6.5 Insurance. Borrower shall maintain in full force and effect at all times all insurance required by Article XII, shall pay all premiums when due, and shall deliver evidence of renewal not less than ten (10) days prior to each expiration.

6.6 Taxes, Assessments and CC&R Charges. Borrower shall pay and discharge, before delinquency, all real property taxes, special assessments, water and sewer charges, and all assessments payable to Brightleaf Historic District Association, Inc. under the CC&Rs (currently $0.12 per square foot of gross building area per annum, or approximately $34,500 per annum). Borrower shall deliver evidence of payment within thirty (30) days after each due date.

6.7 Maintenance; Access and Inspection. Borrower shall maintain the Property and the Project in good condition and repair, and shall permit Lender and its agents, appraisers, engineers, environmental consultants and Construction Consultant to enter upon and inspect the Property at reasonable times and upon reasonable prior notice (and, upon the occurrence of an Event of Default, at any time), and to review all books, records, contracts, permits and construction documentation relating to the Project.

6.8 Books, Records and Reporting. Borrower shall maintain complete and accurate books and records in accordance with GAAP, and shall deliver to Lender the financial statements, certificates, reports and other information described in Schedule 6.8, including monthly construction progress reports, quarterly unaudited financial statements, annual audited financial statements (prepared by a nationally or regionally recognized independent certified public accounting firm), annual personal financial statements of each Guarantor, quarterly guarantor liquidity certifications, annual net worth certifications, monthly Interest Reserve reconciliations, annual NFA compliance certifications and annual CC&R assessment payment evidence. [Note to Draft: audited statements for a single-asset SPE are a significant unbudgeted cost; Lender may wish to accept reviewed statements during the Construction Period.]

6.9 Single-Purpose Entity Covenants. Borrower shall at all times maintain its status as a single-purpose, bankruptcy-remote entity and shall:

(a) hold no assets other than the Property and Project-related assets;

(b) incur no Indebtedness other than the Loan, the Mezzanine Loan (on the terms permitted by Article VII and the Intercreditor Agreement) and trade payables incurred in the ordinary course of business;

(c) conduct no business other than the acquisition, development, construction, ownership, leasing, management and operation of the Project;

(d) maintain separate books, records, financial statements, bank accounts and tax returns from those of any Member, Affiliate or other Person;

(e) not commingle its funds or other assets with those of any Member, Affiliate or other Person;

(f) hold itself out as a separate and distinct entity, conduct its affairs in its own name, and not hold itself out as having agreed to pay or become liable for the debts of any Member or Affiliate;

(g) observe all limited liability company formalities, including holding required meetings, maintaining minutes and records, and making all required filings with the North Carolina Secretary of State;

(h) pay its own liabilities and expenses from its own funds and allocate shared costs and overhead on a reasonable and consistent basis;

(i) conduct all transactions with Members and Affiliates on arm's-length terms and for fair and reasonable consideration, documented in writing;

(j) not guarantee or become obligated for the debts of any other Person, and not pledge its assets for the benefit of any other Person;

(k) not acquire obligations or securities of any Member or Affiliate;

(l) maintain at least one independent manager on its governing body who (i) is not and has not been for the preceding three years an officer, director, employee, member, creditor, supplier, customer, attorney or Affiliate of Borrower, any Member, Mezzanine Lender, Thomas R. Chen or any of their respective Affiliates (other than as an independent manager of Borrower or a similar special-purpose entity), and (ii) must affirmatively approve, and whose vote is required for, any voluntary filing of a petition for relief under the United States Bankruptcy Code or any state insolvency law, any voluntary dissolution, liquidation, assignment for the benefit of creditors, or admission in writing of inability to pay debts generally as they become due;

(m) provide in its operating agreement for the substantive consolidation protections customary for bankruptcy-remote single-purpose entities, including that the unanimous consent of all members (including the independent manager) is required for any insolvency filing; and

(n) deliver, on or before the Closing Date and thereafter upon Lender's reasonable request (and in any event within thirty (30) days after any change affecting the analysis), an updated Non-Consolidation Opinion.

6.10 Notices. Borrower shall deliver written notice to Lender within five (5) Business Days after Borrower obtains knowledge of (a) any Event of Default or event that with notice or lapse of time would constitute an Event of Default, (b) any litigation, arbitration or governmental proceeding against Borrower, any Guarantor, any Member, the Property or the Project involving a claim exceeding $250,000, (c) any environmental claim, notice, release, order or lien, (d) any material casualty or Condemnation, (e) any default or notice of default under the Construction Contract, the Architect Agreement, the Mezzanine Loan Documents or the Intercreditor Agreement, (f) any material delay in construction, any default by the Contractor, or any material Change Order, (g) any suspension, revocation or challenge of any permit, approval, entitlement or ARC approval, (h) any Material Adverse Effect, and (i) any change in the identity of the members, managers or key principals of Borrower.

6.11 Further Assurances. Borrower shall execute, deliver and record such further documents, financing statements, continuation statements, affidavits, certificates and instruments, and take such further actions, as Lender may

reasonably request to create, perfect, maintain or protect the Liens and security interests granted to Lender or to carry out the purposes of the Loan Documents.

6.12 Mezzanine Loan and Intercreditor Matters. Borrower shall comply in all material respects with the Mezzanine Loan Documents and the Intercreditor Agreement, shall deliver to Lender copies of all material notices delivered to or received from Mezzanine Lender within five (5) Business Days, and shall promptly notify Lender of any default or event of default under the Mezzanine Loan Documents.

6.13 Leases. Borrower shall use Lender’s standard form of lease (or a form approved by Lender) for all residential and retail leases, shall not enter into any lease of more than 5,000 square feet of retail space, any lease with a term (including options) exceeding ten (10) years, any lease containing any right of first refusal, purchase option or exclusivity provision, or any master lease, in each case without Lender’s prior written consent, and shall deliver to Lender a rent roll on the first Business Day of each calendar quarter following the issuance of the first certificate of occupancy.

6.14 Cooperation with Construction Consultant. Borrower shall cooperate fully with the Construction Consultant, shall implement the Construction Consultant’s reasonable recommendations with respect to construction monitoring and draw administration, and shall pay the Construction Consultant’s fees in accordance with the Approved Budget.

6.15 Lender’s Expenses. Borrower shall pay, within ten (10) Business Days of written demand, all reasonable out-of-pocket costs and expenses incurred by Lender after the Closing Date in connection with the administration, monitoring and enforcement of the Loan, including construction inspection fees, appraisal updates, environmental consultant fees, title date-down charges, and legal fees and disbursements attributable to (a) any amendment, waiver or consent requested by Borrower, (b) any Event of Default or the enforcement of the Loan Documents, and (c) any insolvency or bankruptcy proceeding, in each case in accordance with Section 16.4.

ARTICLE VII — NEGATIVE COVENANTS

Until the Obligations are paid in full, Borrower shall not, without Lender’s prior written consent (which, where expressly stated, may be withheld in Lender’s sole and absolute discretion):

7.1 Indebtedness. Incur, assume, guarantee or permit to exist any Indebtedness, other than (a) the Loan, (b) the Mezzanine Loan in the original principal amount of $9,200,000 on the terms permitted by Article XIII and the Intercreditor Agreement, and (c) trade payables incurred in the ordinary course of business and not more than ninety (90) days past due.

7.2 Liens. Create, incur, assume or permit to exist any Lien on the Property, the Pledged Interests, the Equity Deposit or any other collateral, other than (a) the Permitted Exceptions, (b) Liens in favor of Lender, (c) Liens for taxes not yet

delinquent and being contested in good faith with adequate reserves, and (d) mechanics' and materialmen's liens arising in the ordinary course of construction that are discharged, bonded off or otherwise removed of record within ten (10) Business Days after notice thereof.

7.3 Transfers; Change of Control. Sell, transfer, convey, assign, lease (other than in the ordinary course), dispose of, pledge, hypothecate or encumber any interest in the Property, the Project or the Pledged Interests, or permit (a) any change in the membership structure or relative membership interests of Borrower, (b) any change in the identity of the Managing Member or the day-to-day manager of Borrower, (c) the admission of any new Member, or (d) any change in the direct or indirect control of any Member that is an entity, in each case whether directly or indirectly, voluntarily or involuntarily, by operation of law or otherwise, without Lender's prior written consent, which consent may be withheld in Lender's sole and absolute discretion. Without limiting the foregoing, the pledge of the Pledged Interests to Mezzanine Lender permitted by Article XIII shall not constitute a breach of this Section 7.3 solely to the extent such pledge is subordinate to Lender's pledge and is permitted under the Intercreditor Agreement.

7.4 Distributions and Payments to Members. Make any Distribution; provided that, so long as no Event of Default exists and no event has occurred which with notice or lapse of time would constitute an Event of Default, Borrower may (a) pay the Developer Fee solely to the extent approved by Lender in accordance with Section 4.7(e) and funded from the Commitment, and (b) following Substantial Completion and upon satisfaction of each condition in Section 4.4, make Distributions from available cash flow that is not required for debt service, reserves, operating expenses or the completion of the Project, in each case only after delivery of a Compliance Certificate demonstrating pro forma compliance with Article VIII. In no event shall Borrower make any Distribution (i) during the Construction Period other than the Developer Fee permitted above, (ii) that would cause any covenant in Article VIII to be breached, (iii) from the Equity Deposit or any borrowed funds, or (iv) that constitutes a reimbursement of any Member's capital contribution, including any portion of the land acquisition cost reflected in the Approved Budget.

7.5 Amendments to Organizational and Project Documents. Amend, waive or modify, or agree to amend, waive or modify, (a) the operating agreement or articles of organization of Borrower in any manner that adversely affects Lender, the SPE covenants, the independent manager provisions, the pledge of the Pledged Interests, the major-decision provisions or Lender's rights, (b) the Mezzanine Loan Documents or the Intercreditor Agreement (subject to Section 13.3), (c) the Construction Contract, the Architect Agreement, the Approved Plans or any Change Order that would require Lender's consent under Section 4.12, or (d) any material permit, entitlement or environmental approval, including the NFA Letter.

7.6 Affiliate Transactions. Enter into, extend, amend or consummate any transaction, contract or arrangement with any Member, Guarantor or Affiliate of any of them, including any development, management, leasing, construction, brokerage, general contractor or consultant agreement, except on arm's-length

terms and for fair and reasonable consideration, disclosed to Lender in writing in advance and approved by Lender in writing.

7.7 Change in Business or Use. Engage in any business other than the ownership, development, construction, leasing, management and operation of the Project; change the use or occupancy of the Property or the Project from the uses contemplated by the Approved Plans and permitted under the MU-D zoning classification; or use or permit any portion of the Affected Area to be used for any residential or other prohibited use.

7.8 Investments; Subsidiaries. Make any loan, advance or investment in, or acquire any equity interest in, any Person, or create or acquire any subsidiary, or acquire any assets other than Project-related assets.

7.9 Burdensome Agreements. Enter into or permit to exist any agreement that restricts Borrower's ability to pay dividends or make distributions, to incur Indebtedness, to grant Liens to Lender, or to amend, refinance or repay the Loan, other than the Intercreditor Agreement and the Mezzanine Loan Documents as approved by Lender.

7.10 Mezzanine Loan Restrictions. Without limiting Article XIII: (a) permit the outstanding principal amount of the Mezzanine Loan (including any payment-in-kind interest capitalized and added to principal) to exceed $9,200,000 plus accrued and unpaid interest that is expressly permitted to be paid in kind under the Mezzanine Loan Documents as approved by Lender; (b) permit any amendment to the interest rate, maturity, amortization, collateral, payment terms, call protection or subordination provisions of the Mezzanine Loan; (c) make or permit any payment of principal, interest or other amounts under the Mezzanine Loan while any Event of Default exists or after the Loan has been accelerated, or in any manner that would cause the DSCR to fall below 1.25x; or (d) permit Mezzanine Lender to take any action to enforce remedies in contravention of the standstill and other provisions of the Intercreditor Agreement.

7.11 Fiscal Year; Accounting Changes. Change its fiscal year (currently the calendar year) or make any material change in its accounting policies or methods, other than as required by GAAP.

ARTICLE VIII — FINANCIAL COVENANTS

8.1 Loan-to-Cost Ratio. Borrower shall maintain a Loan-to-Cost Ratio of not more than eighty percent (80.00%) at all times. The Loan-to-Cost Ratio shall be tested (a) at the Closing Date, (b) at each Advance (as a condition thereto under Section 2.1(b) and Section 4.2), and (c) within thirty (30) days after each determination of Total Project Costs, including upon any approved Change Order or Cost Overrun. For purposes of this Section 8.1, "Total Project Costs" shall be determined in accordance with the definition in Section 1.1 and shall include the Interest Reserve, the Origination Fee and the Developer Fee; provided that Lender and Borrower acknowledge that if Lender required Total Project Costs to be determined excluding the Interest Reserve and the Origination Fee, Total Project

Costs would be $51,375,000, the LTC Availability would be $41,100,000 and the resulting equity requirement would increase by $4,260,000. [Note to Draft: the definition of Total Project Costs is outcome-determinative; confirm Lender's credit policy treatment of the interest reserve and financing fees in the LTC base. See Cover Memorandum, Issue 1.]

8.2 Loan-to-Value Ratio. Borrower shall maintain (a) a Loan-to-Value Ratio on an as-completed basis of not more than sixty-five percent (65.00%) and (b) a Loan-to-Value Ratio on an as-stabilized basis of not more than sixty-five percent (65.00%). The covenants in this Section 8.2 shall be tested at the Closing Date and upon each update or replacement of the Appraisal. Based on the Appraisal, the as-completed LTV at the Closing Date would be 65.25% if the Loan were fully advanced in the amount of $47,500,000, which exceeds the 65.00% limit; accordingly, and consistent with Section 2.1(b), the Loan may not be advanced in excess of $47,320,000 (being 65.00% of the $72,800,000 as-completed value) unless Lender approves a revised appraisal, and in any event the LTC Availability limitation will reduce the maximum outstanding amount to $45,360,000. [Note to Draft: the Term Sheet's 65% as-completed LTV cap and the Bank's 70% policy cap must be reconciled; see Cover Memorandum, Issue 2.]

8.3 Debt Service Coverage Ratio.

(a) **Minimum.** Borrower shall maintain a DSCR of not less than 1.25x, tested (i) on a projected basis as of the commencement of the Mini-Perm Period, using the Appraisal's concluded stabilized NOI, and (ii) thereafter annually (and at the time of each extension request under Section 2.13) on the basis of actual trailing twelve-month NOI once twelve months of operating history are available; until twelve months of operating history are available, the test shall be applied on the basis of the trailing three-month NOI annualized.

(b) **Cure.** If the DSCR is less than 1.25x as of any test date, Borrower shall, at Lender's election, within ten (10) Business Days after written notice, either (i) prepay the Loan in the amount necessary to restore the DSCR to not less than 1.25x, or (ii) deposit cash collateral with Lender in an amount sufficient, in Lender's reasonable determination, to restore the DSCR to not less than 1.25x, which cash collateral shall be held in a Lender-controlled account and applied to the Obligations in accordance with this Agreement.

(c) **Interest-Only Basis.** The DSCR shall be calculated on an interest-only basis, consistent with the interest-only payment structure of the Loan. Borrower acknowledges that the Loan is interest-only throughout its term and that no amortization is provided; Borrower shall accordingly be required to repay the Loan from a refinancing, sale or capital event on or before the applicable Maturity Date.

8.4 Borrower Net Worth. Borrower shall maintain Borrower Net Worth of not less than $12,000,000, tested annually within one hundred twenty (120) days after the end of Borrower's fiscal year and certified in a Compliance Certificate. [Note to Draft: The $12,000,000 threshold is taken from Section 6.4 of the Term Sheet, but it appears unachievable on a book basis: immediately after Closing, Borrower's

assets (land at $8,200,000 plus construction in progress funded by Advances) and its liabilities (the Loan and the Mezzanine Loan, aggregating the same amount) produce book equity of approximately zero, and even with a $2,140,000 Equity Deposit the resulting equity is far below $12,000,000. Lender must elect one of the following before execution: (i) accept the fair-value-based definition of "Borrower Net Worth" set forth in Section 1.1; (ii) reset the threshold to an achievable level (for example, $2,000,000 plus cumulative Equity Deposits); or (iii) replace the covenant with a sponsor-support or equity-funding covenant. See Cover Memorandum, Issue 6.]

8.5 Guarantor Liquidity. The Guarantors shall maintain combined liquid assets (consisting of cash, cash equivalents and marketable securities readily convertible to cash within thirty (30) days, excluding any interest in Borrower or the Project) of not less than $5,000,000, tested quarterly. Borrower acknowledges that, based on the personal financial statements delivered to Lender, the Guarantors' combined liquidity is approximately $9,300,000 ($6,100,000 attributable to Ms. Vasquez-Torres and $3,200,000 attributable to Mr. Osei).

8.6 Guarantor Net Worth. Each Guarantor shall maintain a personal net worth of not less than [seventy-five percent (75%) of such Guarantor's net worth as reflected in the personal financial statements delivered to Lender at Closing] and, in the aggregate, the Guarantors shall maintain a combined net worth of not less than [$30,000,000], tested annually. [Note to Draft: Section 15 of the Term Sheet treats a breach of "the minimum threshold set forth in Section 6.4" as an Event of Default, but Section 6.4 specifies only the Borrower's net worth; no guarantor net worth covenant exists in the Term Sheet. This Section 8.6 is supplied to close that gap and the thresholds must be confirmed by Lender. See Cover Memorandum, Issue 5.]

8.7 Testing; Compliance Certificates. Borrower shall deliver a Compliance Certificate with each annual and quarterly financial statement and at each Advance Request, demonstrating compliance (or non-compliance) with each covenant in this Article VIII, together with reasonably detailed computations and supporting documentation. Lender's acceptance of a Compliance Certificate shall not constitute a waiver of any breach disclosed therein or of any breach that would have been disclosed had the certificate been complete and accurate.

8.8 Cure Rights. Borrower's right to cure a breach of Section 8.3 is limited to the cure mechanism set forth in Section 8.3(b). Borrower shall have no right to cure any breach of Section 8.1, Section 8.2 or Section 7.4, and any such breach shall constitute an immediate Event of Default. A breach of Section 8.4, Section 8.5 or Section 8.6 shall not constitute an Event of Default unless it continues for thirty (30) days after written notice from Lender; provided that the guarantor liquidity covenant in Section 8.5 shall not be curable by deposit of additional funds where the deficiency results from a distribution or transfer to an Affiliate.

ARTICLE IX — COLLATERAL AND GUARANTIES

9.1 Deed of Trust; Permitted Exceptions. The Loan shall be secured by the Deed of Trust, constituting a valid first-priority Lien on the fee simple interest in the Property, together with all improvements, fixtures, appurtenances, and all rights, royalties, minerals and development rights appurtenant thereto, subject only to the Permitted Exceptions. The Permitted Exceptions consist solely of (a) the standard printed exceptions to the extent not deleted by the Title Company (and Borrower shall use commercially reasonable efforts, and shall cause the Title Company, to delete the survey-related standard exceptions upon delivery of the Survey and an affidavit of possession), (b) the 20-foot Duke Energy Carolinas utility easement recorded in Book 4387, Page 621, Durham County Registry, (c) the City of Durham stormwater management easement recorded in Book 7421, Page 212, Durham County Registry, affecting approximately 0.22 acres, (d) the CC&Rs recorded in Book 6984, Page 1155, as amended in Book 7102, Page 388, Durham County Registry, (e) ad valorem taxes for 2025 and subsequent years not yet due and payable, (f) the zoning and Unified Development Ordinance matters described in exception 12 of the Title Commitment, and (g) the environmental land use restriction and deed notice required by the NFA Letter, in the form approved by Lender. The deed of trust recorded in Book 6215, Page 892, Durham County Registry, in favor of Triangle Commercial Bank, and any other exception disclosed in Schedule B-II of the Title Commitment, is not a Permitted Exception and must be released of record at or before Closing.

9.2 Security Agreement. The Loan shall be secured by a first-priority security interest in all of Borrower’s personal property and fixtures relating to the Project, including equipment, inventory, accounts, deposit accounts (other than the Interest Reserve Account to the extent prohibited by Section 2.10), general intangibles, permits, plans, specifications, licenses, approvals, contracts, warranties, books and records, and all proceeds thereof, perfected by the filing of UCC-1 financing statements with the North Carolina Secretary of State and, as to fixtures, in the Durham County Registry.

9.3 Assignment of Rents and Leases. The Loan shall be secured by a first-priority collateral assignment of all present and future leases, rents, issues, profits, revenues and income from the Property, together with Lender’s right (upon the occurrence and during the continuance of an Event of Default) to collect rents directly and to enforce the leases.

9.4 Collateral Assignments. Borrower shall collaterally assign to Lender, and shall deliver acknowledged consents to assignment from the Contractor and the Architect in form reasonably satisfactory to Lender, (a) the Construction Contract, including all rights to receive performance, warranties, guarantees, retainage and proceeds of any surety or performance bond, and (b) the Architect Agreement, including all plans, drawings, specifications, CAD files and other work product. Borrower shall also collaterally assign all development, consulting, geotechnical, environmental and design agreements relating to the Project upon Lender’s request.

9.5 Proceeds. Borrower shall collaterally assign to Lender all Insurance Proceeds and Condemnation Awards relating to the Property and the Project, and shall cause all insurance policies to name Lender as mortgagee and loss payee as its interests may appear.

9.6 Pledge of Membership Interests.

(a) **Grant and Priority.** As additional security for the Obligations, each Member shall pledge to Lender, pursuant to its Pledge Agreement, all of its right, title and interest in and to its Pledged Interests, together with all distributions, proceeds and rights appurtenant thereto. Lender's security interest in the Pledged Interests shall be a first-priority, perfected security interest, senior to the pledge granted to Mezzanine Lender.

(b) **Article 8 Election; Control.** Borrower shall cause the Pledged Interests to be certificated and shall cause its operating agreement to elect that the membership interests be securities governed by Article 8 of the UCC, and each Member shall deliver its certificate to Lender (or a bailee acceptable to Lender) together with an undated instrument of transfer and a stock power, so that Lender obtains "control" of the Pledged Interests within the meaning of UCC § 8-106. Borrower shall not permit the operating agreement to be amended to revoke such election.

(c) **Voting Rights.** So long as no Event of Default exists, the Members may exercise the voting and consensual rights pertaining to the Pledged Interests; provided that Borrower shall not, and the Members shall not, vote to authorize or consent to any action prohibited by Article VII, any bankruptcy or insolvency filing in contravention of Section 6.9(l), any amendment to the operating agreement prohibited by Section 7.5, or any transfer of the Pledged Interests in violation of this Agreement, without Lender's prior written consent.

(d) **Remedies.** Upon the occurrence and during the continuance of an Event of Default, Lender may exercise all rights of a secured party under Article 9 of the UCC and, in addition, may (i) exercise all voting, management and consensual rights with respect to the Pledged Interests, (ii) cause the Pledged Interests or any portion thereof to be transferred of record to Lender or its designee and, if Lender so elects, to become the managing member of Borrower, (iii) exercise all rights of the Members under the operating agreement, and (iv) sell, assign or otherwise dispose of the Pledged Interests in one or more private or public sales in accordance with the UCC, and Borrower and each Member waive any requirement of notification of sale except as required by the UCC. Borrower and each Member acknowledge that a private sale to a single purchaser is commercially reasonable.

(e) **Member Consents.** Each Member shall deliver with its Pledge Agreement an irrevocable written consent to the pledge, to the admission of Lender or its designee as a member upon foreclosure, and to the amendment of the operating agreement to the extent necessary to give effect to this Section

9.6, and shall cause Brightleaf Investors Group LLC and Thomas R. Chen to deliver such consents notwithstanding any affiliate relationship with Mezzanine Lender.

9.7 Guaranties.

(a) **Completion Guaranty.** Each Guarantor shall jointly and severally guarantee the lien-free completion of the Project in accordance with the Approved Plans, the Approved Budget and the construction schedule on or before the Construction Maturity Date, including the obligation to fund all Cost Overruns and all costs of completion in excess of the Loan proceeds, and to cause the issuance of all certificates of occupancy. The Completion Guaranty shall remain in effect until Lender has received evidence satisfactory to it that the Project has been completed in all material respects, a final certificate of occupancy has been issued for all residential units and retail space, and all mechanics' liens have been released or bonded off.

(b) **Carry Guaranty.** Each Guarantor shall jointly and severally guarantee the payment of interest and all other carrying costs on the Loan during the term of the Loan, including interest accruing after exhaustion of the Interest Reserve, real property taxes, insurance premiums, CC&R assessments and other carrying expenses. The Carry Guaranty is in addition to, and not in lieu of, the Interest Reserve, and shall apply to interest and carrying costs accruing after the Interest Reserve is exhausted or to the extent the Interest Reserve is insufficient.

(c) **Partial Repayment Guaranty.** Each Guarantor shall jointly and severally guarantee the repayment of 25% of the Loan Amount, being $11,875,000 in the aggregate. The parties acknowledge and agree that the $11,875,000 is a single, aggregate guaranteed amount for which each Guarantor is jointly and severally liable, and that the obligation is not $11,875,000 per Guarantor and is not additive; provided that the aggregate liability of the Guarantors under the Partial Repayment Guaranty, when aggregated with amounts recovered from Borrower and from the realization of collateral, shall not exceed the outstanding Obligations. [Note to Draft: the Credit Memorandum describes the guaranty as "$11,875,000 per guarantor"; the Term Sheet (Section 7.3) describes a joint and several guaranty "in the amount of 25% of the Loan Amount," which is non-additive. This Section follows the Term Sheet. Confirm with the credit team. See Cover Memorandum, Issue 4.]

(d) **Bad Boy Carve-Outs.** The Partial Repayment Guaranty shall become a full recourse guaranty of 100% of the Obligations upon the occurrence of any of the following: fraud or intentional misrepresentation by Borrower, any Guarantor or any Member; voluntary bankruptcy, insolvency or reorganization filing by or on behalf of Borrower; unauthorized transfer or encumbrance of the Property, the Pledged Interests or any other collateral; breach of any SPE covenant set forth in Section 6.9; environmental liability

or a release of Hazardous Materials caused by Borrower or any Guarantor; waste of the collateral; or misapplication of Insurance Proceeds, Condemnation Awards, rents, security deposits or trust funds. The specific trigger mechanics, notice and cure provisions (if any) shall be set forth in the Partial Repayment Guaranty.

(e) **Independence.** Each Guaranty is a guaranty of payment and performance and not of collection, and each Guarantor waives all suretyship defenses to the extent permitted by applicable law.

9.8 Environmental Indemnity. Borrower and each Guarantor shall execute and deliver the Environmental Indemnity, unlimited in amount, indemnifying Lender against all liabilities, losses, costs, damages, penalties, fines and expenses (including remediation costs, consultant fees and attorneys' fees) arising out of or relating to the presence, release, threatened release or remediation of Hazardous Materials at, on, under, from or migrating to or from the Property, or any non-compliance with Environmental Laws or the NFA Letter. The Environmental Indemnity shall survive repayment of the Loan, release or reconveyance of the Deed of Trust, and any foreclosure, deed in lieu of foreclosure or acquisition of the Property by Lender or its designee, and shall not be subject to any limitation on amount.

9.9 Guarantor Obligations Independent. The obligations of each Guarantor under the Guaranties are independent of the Obligations of Borrower and of any other guarantor, and a separate action may be brought against each Guarantor regardless of whether any action is brought against Borrower or any other Guarantor. Neither the release, modification, extension, renewal, compromise, waiver nor the invalidity, illegality or unenforceability of any Loan Document shall affect the obligations of any Guarantor. Lender may apply payments from any source in any order. Each Guarantor's obligations shall not be reduced by any foreclosure, deficiency or fair-value determination under N.C.G.S. § 45-21.36, except to the extent of the actual amount recovered by Lender as a result of such proceedings and except as otherwise expressly provided by applicable non-waivable law.

9.10 Release and Reconveyance. Upon payment in full of the Obligations (other than contingent indemnity obligations) and the termination of the Commitment, Lender shall release the Pledged Interests, reconvey the Deed of Trust and deliver UCC-3 termination statements, at Borrower's expense, within a reasonable time after Borrower's written request.

ARTICLE X — EVENTS OF DEFAULT

Each of the following shall constitute an Event of Default:

10.1 Payment. Borrower fails to pay any principal, interest, fee or other amount due under the Loan Documents on the due date, and such failure continues for five (5) days; provided that no grace period shall apply to any payment due on the Maturity Date, any payment of principal after acceleration, or any payment

required to be made from the Interest Reserve Account where the failure results from Borrower's misapplication of Interest Reserve funds.

10.2 Representations. Any representation or warranty made by Borrower or any Guarantor in any Loan Document or in any certificate, statement or report delivered under the Loan Documents proves to have been untrue or misleading in any material respect when made (or when deemed remade).

10.3 Covenants. Borrower or any Guarantor fails to observe or perform any covenant or obligation under the Loan Documents (other than as described in Sections 10.1, 10.2 or 10.7) and such failure continues for thirty (30) days after the earlier of written notice from Lender or the date on which Borrower obtains knowledge of such failure; provided that if the failure is not capable of cure within thirty (30) days and Borrower is diligently and continuously pursuing such cure, such period shall be extended by an additional thirty (30) days, and provided further that no cure period shall apply to any breach of Section 7.3, Section 7.4 or Section 4.16.

10.4 Cross-Default. (a) A default or event of default occurs under the Mezzanine Loan Documents or the Intercreditor Agreement; (b) the Guarantors or any Member defaults in any material obligation under any Guaranty, the Pledge Agreements or any other Loan Document; or (c) Borrower defaults in any payment or other material obligation under any other Indebtedness or material agreement involving an aggregate amount in excess of $500,000.

10.5 Bankruptcy and Insolvency. Borrower, any Guarantor or any Member (a) commences any case, proceeding or other action under any bankruptcy, insolvency, reorganization, liquidation or similar law, (b) consents to the institution of, or fails to contest in good faith within sixty (60) days, any such proceeding commenced against it, (c) becomes insolvent or admits in writing its inability to pay debts as they become due, (d) makes an assignment for the benefit of creditors, (e) applies for or consents to the appointment of a receiver, trustee, custodian or liquidator, or (f) has an order for relief entered against it or a receiver, trustee or custodian appointed over all or a substantial part of its assets, and such order or appointment is not vacated, discharged or stayed within sixty (60) days.

10.6 Judgments. One or more judgments, orders or decrees for the payment of money in an aggregate amount exceeding $500,000 (not covered by insurance as to which the insurer has acknowledged coverage in writing) is entered against Borrower, any Guarantor or any Member and remains unsatisfied, unvacated, unbonded or unstayed for a period of thirty (30) days.

10.7 Construction Delay; Abandonment. (a) The Project is more than ninety (90) days behind the construction schedule approved by Lender at any time, (b) Substantial Completion has not been achieved on or before the Construction Maturity Date, (c) Borrower or the Contractor abandons the Project or suspends construction for more than fifteen (15) consecutive days (other than as a result of an event of force majeure approved by Lender in writing), (d) construction is not

carried on in a workmanlike manner in accordance with the Approved Plans, or (e) the Contractor is replaced without Lender's prior written consent.

10.8 Guaranties. Any Guarantor is in breach of any Guaranty; any Guarantor's net worth falls below the minimum threshold set forth in Section 8.6; any Guarantor revokes, terminates, disaffirms, challenges the enforceability of, or asserts any defense (other than payment in full) to any Guaranty; any Guarantor dies, becomes incapacitated or becomes subject to any proceeding described in Section 10.5; or the Non-Consolidation Opinion is withdrawn or materially qualified.

10.9 Insurance. Borrower fails to maintain any insurance required by Article XII, or any policy is canceled, not renewed or materially modified without Lender's prior written consent.

10.10 Single-Purpose Entity. Borrower breaches any covenant in Section 6.9 or any other separateness or single-purpose entity covenant, or takes any action to dissolve, merge or consolidate without Lender's prior written consent.

10.11 Environmental. Any of the following occurs: (a) Borrower fails to comply with any condition of the NFA Letter, including the vapor mitigation system, the soil management plan or the deed notice; (b) any residential or other prohibited use is made of the Affected Area without NCDEQ's written modification and Lender's consent; (c) any release of Hazardous Materials occurs at, on, under or from the Property requiring investigation, remediation or notification to any Governmental Authority, other than as disclosed in the Phase I ESA and addressed by the soil management plan; (d) any environmental Lien or order is imposed on the Property; (e) the NFA Letter is revoked, modified adversely, conditioned further or reopened; or (f) any Governmental Authority requires additional investigation or remediation at the Property that is not completed by Borrower within the time required (or, if no time is specified, within ninety (90) days).

10.12 Transfers and Change of Control. Any transfer, pledge, encumbrance or change of control described in Section 7.3 occurs without Lender's prior written consent.

10.13 Validity of Loan Documents. Any Loan Document ceases to be in full force and effect, or any Lien granted to Lender ceases to be a valid and (except as expressly permitted) first-priority Lien, or Borrower or any Guarantor asserts in writing that any Loan Document is not valid, binding or enforceable.

10.14 Material Adverse Effect. Any Material Adverse Effect occurs, as reasonably determined by Lender.

10.15 Other Security Events. The Property or any material portion of the collateral is attached, seized, levied upon, forfeited, or becomes subject to any Lien (other than a Permitted Exception) that is not removed within thirty (30) days; or any uninsured casualty or Condemnation occurs that is not otherwise addressed in Article XII; or any material permit, entitlement, ARC approval or environmental approval is revoked, suspended or expires and is not reinstated within thirty (30) days.

10.16 Interest Reserve and Cost Overruns. Borrower fails to fund an Interest Reserve Deficiency within the period required by Section 2.10(d) or fails to fund any Cost Overrun within the period required by Section 4.7(c).

10.17 Notice and Cure. Lender shall give Borrower written notice of any Event of Default described in Section 10.2 or Section 10.3, but the giving of notice shall not be a condition to the existence of an Event of Default and shall not extend any cure period except as expressly provided. No notice or cure period shall apply to Sections 10.1 (except as stated), 10.4(a), 10.5, 10.7(b), 10.7(c), 10.10, 10.12 or 10.13.

ARTICLE XI — REMEDIES

11.1 Remedies on Default. Upon the occurrence and during the continuance of an Event of Default, Lender may, at its option and without further notice or demand (except as required by applicable law), exercise any one or more of the following remedies, in any order and without election of remedies: (a) declare the entire outstanding principal balance of the Loan, together with all accrued and unpaid interest, fees, costs and other Obligations, immediately due and payable, whereupon the same shall become immediately due and payable without presentment, demand, protest or notice of any kind, all of which are waived; (b) terminate the Commitment and cease making Advances; (c) apply the Default Rate; (d) exercise all rights and remedies under the Deed of Trust, including foreclosure by power of sale in accordance with Article 2C of Chapter 45 of the North Carolina General Statutes; (e) exercise all rights and remedies of a secured party under Article 9 of the UCC, including with respect to the Pledged Interests; (f) exercise all rights under the Guaranties and the Environmental Indemnity; (g) apply any funds held by Lender, including the Equity Deposit and any cash collateral, to the Obligations; (h) sue for specific performance of any covenant, including the completion of the Project; and (i) exercise any other right or remedy available at law or in equity.

11.2 Foreclosure and UCC Remedies. Lender may foreclose the Deed of Trust and pursue its other real property remedies, and may simultaneously or subsequently exercise its personal property and Pledged Interests remedies, without any requirement of marshalling and without affecting the Guaranties. Borrower and each Guarantor acknowledge that North Carolina law permits non-judicial foreclosure by power of sale in a special proceeding before the Clerk of Superior Court under N.C.G.S. § 45-21.16 et seq., and that any deficiency, and any limitation on Lender’s recovery, shall be determined in accordance with N.C.G.S. § 45-21.36 and other applicable non-waivable law. [Note to Draft: the Credit Memorandum describes North Carolina as a “judicial foreclosure state”; North Carolina is a power-of-sale state with a clerk-supervised special proceeding. Confirm characterization with North Carolina counsel. See Cover Memorandum, Issue 21.]

11.3 Pledged Interests. Lender may exercise its remedies with respect to the Pledged Interests in accordance with Section 9.6(d), including by transferring the

Pledged Interests to Lender or its designee and causing Lender or its designee to be admitted as the managing member of Borrower. Borrower shall, and each Member shall cause Borrower to, take all actions necessary to give effect to such transfer, including amending the operating agreement, filing any required notices, and delivering all books, records, seals and accounts.

11.4 Receiver. Lender may apply to any court of competent jurisdiction for the appointment of a receiver to take possession of and operate the Property and the Project, and Borrower irrevocably consents to such appointment, waives any requirement of a bond (to the extent permitted by law) and waives notice.

11.5 Setoff. Lender shall have the right to set off any Obligations against any deposit account, credit balance or other property of Borrower or any Guarantor in Lender's possession, including the Interest Reserve Account, without notice or demand.

11.6 Protective Advances. Lender may, but shall not be obligated to, make advances or incur expenses (including real property taxes, insurance premiums, mechanics' lien discharges, construction completion costs, environmental remediation costs, and costs to cure any default of Borrower), and any such amounts shall be deemed Advances, shall bear interest at the Default Rate, shall be secured by the Loan Documents and shall be repaid on demand. No such advance shall cure any Event of Default or waive any right of Lender.

11.7 Application of Payments. All payments received after the occurrence of an Event of Default shall be applied in such order as Lender determines in its sole discretion, and any application shall not cure any Event of Default or waive any right.

11.8 Cumulative Remedies; No Waiver. All rights and remedies of Lender are cumulative and not exclusive. No delay or failure to exercise any right or remedy shall constitute a waiver, and no waiver shall be effective unless in writing and signed by Lender. Acceptance of any payment after an Event of Default, or after the Maturity Date, shall not constitute a waiver or reinstatement.

11.9 Limited Power of Attorney. Borrower and each Guarantor irrevocably appoint Lender as their attorney-in-fact, coupled with an interest, solely to (a) execute and file UCC financing statements, continuation statements and amendments and any recordable instruments necessary to perfect or maintain Lender's Liens, (b) endorse and deposit insurance drafts and checks in accordance with Article XII, (c) execute and file any documents necessary to record the release of a mechanics' lien that Borrower has failed to discharge as required by Section 4.9, and (d) upon the occurrence and during the continuance of an Event of Default, take any action permitted by this Agreement with respect to the collateral, the Pledged Interests or the completion of the Project. The power of attorney shall not be exercised in a manner that would violate applicable law.

11.10 North Carolina Statutory Matters. The parties acknowledge that certain rights and remedies under North Carolina law (including notice requirements and the fair-value determination provisions of N.C.G.S. § 45-21.36) may not be waived,

and nothing in this Agreement shall be construed to waive any such non-waivable right. Each Guarantor's obligations shall be enforceable independently of any foreclosure proceeding, subject to applicable law.

ARTICLE XII — INSURANCE, CASUALTY AND CONDEMNATION

12.1 Required Insurance. Borrower shall procure and maintain, at its sole cost and expense and with insurers and on terms reasonably acceptable to Lender (having a rating of not less than A-/VIII by A.M. Best), the following coverages:

(a) **Builder's Risk Insurance** — on an all-risk, agreed-amount, replacement cost basis (including boiler and machinery, flood, windstorm, earthquake if required, materials in transit, materials stored off-site, soft costs and delayed opening coverage), in an amount not less than the total hard construction costs of $34,750,000 plus soft costs and holding costs, naming Lender as mortgagee and loss payee as its interests may appear;

(b) **Commercial General Liability Insurance** — with limits of not less than $5,000,000 per occurrence and $10,000,000 in the aggregate, on an occurrence basis, including premises liability, products/completed operations, contractual liability (including the insured contract with Lender), personal and advertising injury, and an aggregate per location for the Project;

(c) **Umbrella/Excess Liability Insurance** — with limits of not less than $10,000,000 per occurrence and in the aggregate, providing excess coverage over the commercial general liability, employer's liability and automobile coverage;

(d) **Workers' Compensation Insurance** — in statutory limits as required by N.C.G.S. Chapter 97, and employer's liability with limits of not less than $1,000,000;

(e) **Professional Liability Insurance** — maintained by the Architect (not less than $2,000,000 per claim, with an aggregate not less than $2,000,000) and by the Contractor to the extent the Contractor provides design services, and by any engineer providing the soil vapor mitigation system design;

(f) **Flood Insurance** — if any portion of the Property is determined to be located in a FEMA Special Flood Hazard Area, in the amount required by the National Flood Insurance Act and Lender's policy; and

(g) **Such other insurance** as Lender may reasonably require, including ordinance or law coverage, auto liability, environmental/pollution liability (including coverage for the conditions addressed by the NFA Letter and for the cost of completing any additional remediation required by a Governmental Authority, with limits reasonably acceptable to Lender), and equipment breakdown coverage.

12.2 Policy Requirements. All policies shall (a) name Lender as mortgagee and, where applicable, as additional insured and loss payee as its interests may appear,

(b) be primary and non-contributory as to Lender, (c) contain a waiver of subrogation in favor of Lender, (d) provide that the insurer shall not cancel or materially modify the policy without at least thirty (30) days' prior written notice (and ten (10) days' notice for non-payment of premium) to Lender, and (e) be evidenced by certificates and endorsements reasonably acceptable to Lender.

12.3 Evidence; Renewal. Borrower shall deliver evidence of initial coverage prior to Closing and evidence of renewal not less than ten (10) days prior to each expiration. If Borrower fails to obtain or maintain any required insurance, Lender may, but shall not be obligated to, procure such insurance and charge the cost to Borrower, which cost shall be an Obligation secured by the Loan Documents and due on demand.

12.4 Lender's Right to Settle. Borrower shall not settle or adjust any casualty claim in excess of $250,000 without Lender's prior written consent, and Lender shall have the right to participate in the adjustment of any claim in excess of such amount.

12.5 Casualty. If the Property or any material portion of the improvements is damaged or destroyed by fire or other casualty, Borrower shall promptly notify Lender and shall, at Borrower's option and subject to Lender's rights under this Section, either restore the Project or prepay the Loan to the extent of the Insurance Proceeds available. Unless Lender determines in its reasonable discretion that the Project cannot be or is not economically restored, Lender shall make the Insurance Proceeds available for restoration in accordance with a restoration budget and disbursement schedule approved by Lender, on the same terms and subject to the same conditions as the Advances (including Retainage and lien waivers), and subject to: (a) no Event of Default existing; (b) Lender's reasonable determination that the restoration can be completed within the then-remaining Construction Period (or such other period as Lender may approve) and within the Insurance Proceeds and other funds available to Borrower; (c) the issuance of such architect's certificates, permits and contractor agreements as Lender may require; and (d) such other conditions as Lender may reasonably impose. Lender may retain and apply any Insurance Proceeds against the Obligations upon an Event of Default.

12.6 Condemnation. If any Condemnation occurs, all Condemnation Awards shall be assigned to and controlled by Lender. If, in Lender's reasonable determination, the Property can be restored to a viable condition consistent with the Approved Plans, Condemnation Awards shall be made available for restoration on the conditions described in Section 12.5. Otherwise, or upon an Event of Default, Lender may apply the Condemnation Awards against the Obligations.

12.7 Mandatory Prepayment. If the Loan is prepaid from Insurance Proceeds or Condemnation Awards (other than in connection with a restoration approved by Lender), such prepayment shall be made without premium, penalty or Exit Fee, together with accrued interest and all other Obligations then due.

ARTICLE XIII — MEZZANINE LOAN AND INTERCREDITOR ARRANGEMENT

13.1 Acknowledgment. Lender acknowledges that Mezzanine Lender is making the Mezzanine Loan to Borrower in the original principal amount of $9,200,000, bearing interest at 12.50% per annum fixed and maturing coterminously with the Loan (including any extension period), secured by a pledge of 100% of the Pledged Interests subordinate to Lender's pledge. Lender consents to the Mezzanine Loan solely on the terms of this Article XIII and the Intercreditor Agreement.

13.2 Required Intercreditor Terms. The Intercreditor Agreement shall, at a minimum, provide that: (a) Lender's pledge of the Pledged Interests is a first-lien, senior security interest and Mezzanine Lender's pledge is second-lien and subordinated; (b) Mezzanine Lender may not exercise any remedies against the Pledged Interests, Borrower or the Project until the expiration of a standstill period of not less than ninety (90) days following the occurrence and during the continuance of a default under the Mezzanine Loan Documents, and thereafter only in compliance with the Intercreditor Agreement; (c) Mezzanine Lender shall receive copies of all default notices delivered by Lender and shall have the right (but not the obligation) to cure any default under the Loan Documents within a cure period of not less than ten (10) Business Days after notice, and Lender shall accept any such cure; (d) Mezzanine Lender shall have a purchase option entitling it to acquire the Loan at par plus all accrued and unpaid interest, fees and costs upon any Event of Default; (e) Mezzanine Lender shall not amend, waive or modify the interest rate, maturity, amortization, collateral or payment terms of the Mezzanine Loan without Lender's prior written consent; (f) Mezzanine Lender shall not file, join in the filing of, or otherwise support an involuntary petition under the Bankruptcy Code against Borrower, and shall not object to or interfere with Lender's exercise of remedies, the appointment of a receiver, the foreclosure of the Deed of Trust or the exercise of Lender's rights with respect to the Pledged Interests; (g) all payments to Mezzanine Lender shall be subject to the payment waterfall provisions of the Intercreditor Agreement, and no payment of any kind shall be made to Mezzanine Lender while an Event of Default exists or after acceleration of the Loan; and (h) Mezzanine Lender acknowledges the affiliate relationship described in Section 13.4 and agrees that it will exercise no rights in a manner inconsistent with the Intercreditor Agreement.

13.3 Restrictions on the Mezzanine Loan. Borrower shall not, without Lender's prior written consent: (a) increase the principal amount of the Mezzanine Loan (other than interest capitalized in accordance with the Mezzanine Loan Documents as approved by Lender as of the Closing Date); (b) grant any additional collateral for the Mezzanine Loan or permit Mezzanine Lender to obtain any Lien on the Property, the Project or any assets of Borrower other than the subordinate pledge of the Pledged Interests; (c) amend the Mezzanine Loan Documents; (d) make any payment of principal, interest or fees under the Mezzanine Loan (i) while an Event of Default exists or after acceleration of the Loan, (ii) from the proceeds of the Loan, the Equity Deposit or any borrowed funds, or (iii) if, after giving effect thereto, the DSCR would be less than 1.25x or Borrower would not be in

compliance with Article VIII; or (e) permit Mezzanine Lender to accelerate the Mezzanine Loan other than in accordance with the Intercreditor Agreement.

13.4 Affiliate Relationship. Borrower, the Members and the Guarantors acknowledge that (a) Brightleaf Investors Group LLC holds a 28% membership interest in Borrower, (b) Thomas R. Chen is the managing member of Brightleaf Investors Group LLC and of Mezzanine Lender, and (c) Brightleaf Investors Group LLC and Mezzanine Lender are under common control. Borrower shall ensure that no Member or Affiliate exercises any right under the operating agreement, the CC&Rs, the Mezzanine Loan Documents or otherwise in a manner that impedes Lender's exercise of remedies, the completion of the Project, the repayment or refinancing of the Loan, or the exercise of Lender's rights with respect to the Pledged Interests. Without limiting the foregoing, Borrower shall cause its operating agreement to provide that the affirmative vote of Members holding 75% of the membership interests shall not be required, and Lender's written consent shall not be required, for any refinancing or repayment of the Loan in full or any action reasonably necessary to permit the same.

13.5 Breach. Any breach of this Article XIII or of the Intercreditor Agreement shall constitute an immediate Event of Default.

ARTICLE XIV — ASSIGNMENT, PARTICIPATION AND CONFIDENTIALITY

14.1 Lender Assignments. Lender may sell, assign, transfer, participate or grant participations in all or any portion of the Loan and its rights under the Loan Documents, in whole or in part, without the consent of Borrower or any Guarantor. Borrower shall execute such documents, and provide such information, as Lender may reasonably request in connection with any such assignment or participation, including a duly executed assignment and assumption agreement and confirmation of the Guaranties.

14.2 Borrower Restrictions. Borrower may not assign or delegate any of its rights or obligations under the Loan Documents without Lender's prior written consent, which may be withheld in Lender's sole discretion. Any purported assignment in violation of this Section shall be void.

14.3 Participations and Disclosure. Lender may disclose to any actual or prospective assignee, participant, rating agency, insurer or investor any information relating to Borrower, the Guarantors, the Property and the Project, subject to customary confidentiality arrangements.

14.4 Confidentiality. Lender and Borrower shall each maintain the confidentiality of the terms of the Loan Documents and the non-public information received from the other, except that each may disclose such information (a) to its officers, employees, agents, attorneys, accountants, consultants and advisors who have a need to know, (b) to actual or prospective assignees, participants and investors, (c) as required by any Requirement of Law, subpoena or regulatory examination, (d) to rating agencies and insurers, and (e) in connection with the enforcement of the

Loan Documents. Nothing in this Section shall prohibit disclosure of the tax structure or tax treatment of the transactions contemplated hereby.

14.5 Securitization Cooperation. If Lender determines to securitize or syndicate the Loan, Borrower shall cooperate in good faith, at Lender's cost (other than internal costs), including by providing such financial and other information as Lender may reasonably require, and by considering in good faith such structural modifications as Lender may reasonably request, provided that no such modification shall increase Borrower's obligations or reduce its rights without its consent.

ARTICLE XV — NOTICES

15.1 Notices. All notices, requests, consents, demands and other communications shall be in writing and shall be deemed given: (a) when delivered, if delivered personally; (b) one (1) Business Day after deposit with a nationally recognized overnight courier; (c) three (3) Business Days after deposit in the United States mail, certified, return receipt requested, postage prepaid; or (d) when sent by electronic mail, if sent during recipient's normal business hours (and otherwise on the next Business Day), provided that a copy is also sent by one of the methods described in clause (a), (b) or (c) within one (1) Business Day (except for routine administrative communications and Advance Requests, which may be sent by electronic mail alone). The addresses for notices are:

Party

Notice Address

Lender

Pinnacle Savings Bank, N.A., 215 South Tryon Street, 18th Floor, Charlotte, North Carolina 28202, Attention: David Forsythe, Senior Vice President — Commercial Real Estate Lending; with a copy to Ashford, Cromdale Consulting & Laine LLP, 411 South Tryon Street, Suite 2800, Charlotte, North Carolina 28202, Attention: Katharine Drummond

Borrower

Harborview Capital Partners LLC, 400 West Main Street, Suite 310, Durham, North Carolina 27701, Attention: Elena Vasquez-Torres, Managing Member; with a copy to Calloway & Strauss PLLC, 324 Blackwell Street, Suite 200, Durham, North Carolina 27701, Attention: Jonathan F. Ngo

Guarantors

Elena Vasquez-Torres, at the address for Borrower, and Reginald K. Osei, at [_____], Chapel Hill, North Carolina [_____]

Mezzanine Lender

Brightleaf Mezzanine Capital LLC, [address], Attention: Thomas R. Chen (default notices only, as provided in the Intercreditor Agreement)

A party may change its notice address by notice given in accordance with this Section.

ARTICLE XVI — MISCELLANEOUS

16.1 Governing Law. This Agreement and the other Loan Documents (other than those expressly governed by the law of another jurisdiction) shall be governed by and construed in accordance with the laws of the State of North Carolina, without regard to its conflict of laws principles (other than N.C.G.S. § 1-105).

16.2 Jurisdiction and Venue. Each party irrevocably submits to the exclusive jurisdiction of the General Court of Justice of North Carolina, Durham County, and the United States District Court for the Middle District of North Carolina, in any action or proceeding arising out of or relating to the Loan Documents, waives any objection to venue in such courts (including any claim of inconvenient forum), and consents to service of process in the manner provided in Section 15.1.

16.3 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT TO TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THE LOAN DOCUMENTS OR THE TRANSACTIONS CONTEMPLATED THEREBY. EACH PARTY CERTIFIES THAT THIS WAIVER IS A MATERIAL INDUCEMENT TO ENTER INTO THIS AGREEMENT AND THAT IT HAS HAD THE OPPORTUNITY TO CONSULT COUNSEL.

16.4 Expenses. Borrower shall pay all reasonable out-of-pocket costs and expenses incurred by Lender in connection with the origination, documentation, negotiation, closing, administration, monitoring, enforcement and collection of the Loan, including the legal fees and disbursements of Ashford, Cromdale Consulting & Laine LLP (whether or not the Loan closes, subject to the Expense Deposit described in the Term Sheet), appraisal and appraisal review fees, environmental consultant fees, Construction Consultant fees, title and survey costs, recording fees, UCC search and filing fees, and all costs of enforcement (including in any insolvency or appellate proceeding). All such amounts shall be additional Obligations, shall bear interest at the Default Rate if not paid within ten (10)

Business Days of demand, and shall be secured by the Loan Documents. The $75,000 expense deposit paid pursuant to the Term Sheet shall be credited against amounts payable under this Section.

16.5 Indemnification. Borrower and each Guarantor, jointly and severally, shall indemnify, defend and hold harmless Lender and its officers, directors, employees, agents, attorneys, successors and assigns from and against any and all claims, liabilities, losses, damages, penalties, fines, costs and expenses (including reasonable attorneys' fees and costs of defense) arising out of or relating to (a) the Loan Documents or the transactions contemplated thereby, (b) the Property or the Project, including the presence, release or threatened release of Hazardous Materials (which indemnity is also addressed in, and is not limited by, the Environmental Indemnity), (c) any violation of Environmental Laws or the NFA Letter, (d) the construction of the Project, including any claim of any contractor, subcontractor, materialman, architect, engineer, tenant or purchaser, (e) any claim by any Member or Affiliate relating to the Loan, the Pledged Interests or distributions, or (f) any misrepresentation or breach of any Loan Document by Borrower or any Guarantor. This indemnity shall exclude claims resulting from the gross negligence or willful misconduct of the indemnified party.

16.6 No Third-Party Beneficiaries. Except for the indemnified Persons under Section 16.5 and any permitted assignee or participant of Lender, nothing in the Loan Documents shall confer any rights on any Person other than the parties and their permitted successors and assigns.

16.7 Amendments and Waivers. No amendment, modification, waiver or consent shall be effective unless in writing and signed by Lender (and, in the case of an amendment to this Agreement, by Borrower and, if their obligations are affected, the Guarantors). No course of dealing, failure to exercise any right, or acceptance of a late or partial payment shall constitute a waiver. Any waiver shall be limited to the specific instance and purpose for which given.

16.8 Severability. If any provision of this Agreement is held unenforceable, the remainder shall remain in full force and effect, and the unenforceable provision shall be construed to the maximum extent permitted by law.

16.9 Counterparts; Electronic Signatures. This Agreement may be executed in any number of counterparts, each of which shall be an original, and all of which together shall constitute one instrument. Signatures delivered by facsimile or electronic transmission (including .pdf or any electronic signature complying with the U.S. federal ESIGN Act, the Uniform Electronic Transactions Act as adopted in North Carolina, or other applicable law) shall be effective as originals.

16.10 Entire Agreement. This Agreement and the other Loan Documents constitute the entire agreement among the parties with respect to the subject matter hereof and supersede all prior and contemporaneous negotiations, understandings, term sheets and agreements (including the Term Sheet, which is superseded in its entirety except for those provisions that expressly survive by their terms, and except that the Term Sheet's confidentiality, exclusivity, expense deposit and expense reimbursement provisions shall survive to the extent not

inconsistent with this Agreement). No “term sheet,” “commitment letter” or “credit approval” shall be construed to expand Lender’s obligations beyond those set forth in the Loan Documents.

16.11 Survival. All representations, warranties, covenants and indemnities shall survive the Closing, the making of each Advance, the repayment of the Loan and the release of the Liens, to the extent provided herein or therein.

16.12 Time of the Essence. Time is of the essence with respect to each obligation of Borrower and each Guarantor under the Loan Documents.

16.13 Joint and Several Liability. The obligations of Borrower and each Guarantor under the Loan Documents are joint and several with the obligations of each other such Person to the extent provided in the applicable Loan Documents. Nothing in this Section shall limit the caps contained in the Partial Repayment Guaranty.

16.14 No Partnership; No Fiduciary Duty. The relationship between Lender, on the one hand, and Borrower and the Guarantors, on the other hand, is solely that of creditor and debtor (and guarantors). Lender has no fiduciary or other special relationship with Borrower, any Guarantor, any Member or any Affiliate, and no such relationship shall be inferred from the Loan Documents, Lender’s monitoring of the Project, or any advice or information Lender may provide.

16.15 Headings; Construction. Headings are for convenience only. This Agreement has been negotiated at arm’s length with the assistance of counsel for each party, and no presumption shall arise against the drafting party.

16.16 USA PATRIOT Act; Beneficial Ownership. Lender hereby notifies Borrower and the Guarantors that, pursuant to the requirements of the USA PATRIOT Act (Title III of Pub. L. 107-56), Lender is required to obtain, verify and record information that identifies each Person who opens an account or obtains a loan relationship, including the name, address, tax identification number and other identifying information of Borrower and its beneficial owners. Borrower and the Guarantors shall provide all such information upon request and shall certify the accuracy of beneficial ownership information in accordance with 31 C.F.R. § 1010.230.

16.17 Waiver of Marshalling and Defenses. Each of Borrower and each Guarantor waives, to the fullest extent permitted by applicable law, (a) any right to require Lender to marshal assets, to pursue any particular remedy or to proceed against any collateral, any Guarantor or any other Person in any particular order, (b) any defense based on the statute of limitations, the unenforceability of any Loan Document as against Borrower, or the failure of Lender to notify it of any change in Borrower’s financial condition, and (c) any defense based on any election of remedies or the absence of any appraisal, valuation or fair-value hearing, in each case except to the extent such right or defense may not be waived under applicable law.

16.18 Lost Note. Upon Lender’s affidavit of loss, Borrower shall execute and deliver a replacement Note in the same principal amount without any offset, defense or claim.

16.19 Conflict Among Loan Documents. In the event of any conflict between this Agreement and any other Loan Document, the provisions of this Agreement shall control except (a) as to matters of title and conveyancing, in which case the Deed of Trust shall control, and (b) where the other Loan Document expressly states that it controls.

16.20 Reinstatement. If any payment received by Lender is subsequently invalidated, declared to be fraudulent or preferential, set aside or required to be repaid, then to the extent of any such recovery the Obligations and the Loan Documents shall be reinstated and remain in full force and effect as if such payment had not been received.

16.21 Replacement of Note. Upon any transfer or assignment of the Loan, Borrower shall, at Lender’s request and expense, execute a replacement Note payable to the assignee on the same terms.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

LENDER

BORROWER

PINNACLE SAVINGS BANK, N.A.

HARBORVIEW CAPITAL PARTNERS LLC

By: _____

By: _____

Name: David Forsythe

Name: Elena Vasquez-Torres

Title: Senior Vice President, Commercial Real Estate Lending

Title: Managing Member

Date: _____

Date: _____

GUARANTORS:

ELENA VASQUEZ-TORRES, individually: _____ Date: _____

REGINALD K. OSEI, individually: _____ Date: _____

ACKNOWLEDGED AND AGREED solely for purposes of Sections 7.4, 7.5, 9.6, 13.4 and 16.14 by the Members and pledgors:

ELENA VASQUEZ-TORRES, as a Member and Pledgor: _____

BRIGHTLEAF INVESTORS GROUP LLC, as a Member and Pledgor: By: _____ Name: Thomas R. Chen, Title: Managing Member

REGINALD K. OSEI, as a Member and Pledgor: _____

SCHEDULE 1.1 — APPROVED PROJECT BUDGET

Line	Category / Item	Total	Senior Loan	Mezzanine Loan	Equity Deposit
I	**LAND ACQUISITION**				
1.01					

Land — 601 and 615 Foster Street (3.47 acres; previously closed)

8,200,000

—

8,200,000

—

Subtotal — Land

8,200,000

—

8,200,000

—

II

HARD CONSTRUCTION COSTS (GMP — Graystone Construction Group Inc.)

2.01

Site work — demolition, grading, utilities, paving

3,180,000

2,984,200

—

195,800

2.02

Foundations — deep foundations, mat slab, waterproofing

2,950,000

2,768,300

—

181,700

2.03

Structural — concrete and steel (podium and superstructure)

6,420,000

6,024,600

—

395,400

2.04

Building envelope — cladding, windows, roofing

4,275,000

4,011,700

—

263,300

2.05

MEP systems

5,850,000

5,489,700

—

360,300

2.06

Interior finishes — residential (212 units)

5,940,000

5,574,200

—

365,800

2.07

Interior finishes — retail (18,400 SF; 7 bays)

920,000

863,300

—

56,700

2.08

Parking structure (4 levels; 276 spaces) — *includes NFA-required soil vapor mitigation system*

3,590,000

3,368,900

—

221,100

2.09

Amenities and common areas

1,625,000

1,525,100

—

99,900

Subtotal — Hard Costs

34,750,000

32,610,000

—

2,140,000

III

SOFT COSTS

3.01

Architecture and engineering — Meridian Design Collective PC

1,680,000

1,680,000

—

—

3.02

Permits and impact fees — City of Durham

685,000

685,000

—

—

3.03

Legal fees — Borrower (Calloway & Strauss PLLC)

425,000

425,000

—

—

3.04

Legal fees — Lender and title/escrow costs

310,000

310,000

—

—

3.05

Environmental and geotechnical — Sentinel Environmental Consulting LLC

185,000

185,000

—

—

3.06

Appraisal — Ridgeline Appraisal Services Inc.

35,000

35,000

—

—

3.07

Title insurance and recording — Aldersgate Title & Escrow Inc.

245,000

245,000

—

—

3.08

Construction inspection and monitoring

125,000

125,000

—

—

3.09

Builder’s risk insurance

210,000

210,000

—

—

3.10

Marketing and lease-up

250,000

250,000

—

—

Subtotal — Soft Costs

4,150,000

4,150,000

—

—

IV

FINANCING COSTS

4.01

Interest Reserve

4,850,000

4,850,000

—

—

4.02

Loan Origination Fee (1.00%)

475,000

475,000

—

—

Subtotal — Financing Costs

5,325,000

5,325,000

—

—

V

DEVELOPER FEE

5.01

Developer Fee (5.00% of total project costs)

2,835,000

1,835,000

1,000,000

—

VI

CONTINGENCY

6.01

Hard cost contingency (3.28% of GMP)

1,140,000

1,140,000

—

—

6.02

Soft cost contingency (7.23% of soft costs)

300,000

300,000

—

—

Subtotal — Contingency

1,440,000

1,440,000

—

—

TOTAL PROJECT COSTS

56,700,000

45,360,000

9,200,000

2,140,000

Notes to Schedule 1.1.

1. **Reconciliation.** $8,200,000 + $34,750,000 + $4,150,000 + $4,850,000 + $475,000 + $2,835,000 + $1,440,000 = $56,700,000. Senior Loan ($45,360,000) + Mezzanine Loan ($9,200,000) + Equity Deposit ($2,140,000) = $56,700,000.

2. **Loan-to-Cost.** Senior Loan ÷ Total Project Costs = $45,360,000 ÷ $56,700,000 = 80.00%, complying with Section 8.1. The Senior Loan commitment of $47,500,000 remains available for Advance if, when and to the extent Total Project Costs increase as approved by Lender under Section 4.7; in that event the Equity Deposit requirement is reduced correspondingly under Section 4.8(d).

3. **Equity allocation.** The Equity Deposit is allocated solely to Hard Costs, as required by Section 4.8(b), and may not be applied to the Developer Fee, the Interest Reserve, the Origination Fee or any Distribution.

4. **Land line item.** Line 1.01 is shown at the acquisition cost of $8,200,000 funded by the Mezzanine Loan in accordance with the Borrower’s detailed budget. Lender’s consent to the Mezzanine Loan does not constitute consent

to any reimbursement of a Member’s capital contribution; see Section 2.2, Section 4.16, Section 7.4 and Cover Memorandum Issue 3. Borrower must deliver the reconciled sources and uses statement required by Section 3.3(b) before Closing.

5. **Unbudgeted items.** The following recurring costs are not included in the Approved Budget and must be funded by Borrower from sources other than the Loan: the Unused Line Fee ($0.25% per annum), the Exit Fee, the Extension Fee, construction-period real property taxes (the 2024 combined tax bill for both parcels was $49,065.56), CC&R assessments (approximately $34,500 per annum), and audit fees.

6. **Interim true-up.** The allocation of Hard Costs between the Senior Loan and the Equity Deposit in the table is pro forma; the actual allocation will be determined as Advances are made, subject to Section 4.8.

SCHEDULE 1.2 — APPROVED DRAW SCHEDULE

Part A — Milestone Advances (Hard Costs)

Advance

Milestone

Cumulative % Complete

Gross Hard Cost

Retainage (10%)

Net Hard Cost Advance

Estimated Date

1

Closing — soft costs, Interest Reserve, Origination Fee

0%

—

—

9,475,000

Feb 28, 2025

2

Foundation Complete

15%

5,212,500

521,250

4,691,250

Jun 2025

3

Structural Frame — Level 3

35%

6,950,000

695,000

6,255,000

Nov 2025

4

Structural Frame — Topped Out

55%

6,950,000

695,000

6,255,000

Apr 2026

5

Building Envelope Complete

70%

5,212,500
521,250
4,691,250
Aug 2026
6
MEP Rough-In Complete
80%
3,475,000
347,500
3,127,500
Nov 2026
7
Interior Finish — 50% of Units
90%
3,475,000
347,500
3,127,500
Mar 2027
8
Substantial Completion / TCO
100%
3,475,000
347,500
3,127,500
Aug 2027
9
Final Advance — Retainage Release (post-CO)
Post-CO
—
(3,475,000)
3,475,000
[Oct 2027]

Totals

34,750,000

—

34,750,000

Part B — Other Budget Items Funded from the Commitment

Item

Amount

Funding Conditions

Developer Fee (Senior Loan portion)

1,835,000

50% following Construction Consultant certification of ≥90% completion; 50% at the Final Advance; not payable from the Equity Deposit

Contingency (hard and soft)

1,440,000

Only as approved by Lender under Section 4.7(d), upon Change Orders or documented Cost Overruns

Part C — Reconciliation of the Commitment to Advances

Component

Amount

Initial Advance (soft costs $4,150,000; Interest Reserve $4,850,000; Origination Fee $475,000)

9,475,000

Hard Cost Advances 2–8 (net of Retainage)

31,275,000

Final Advance — Retainage release

3,475,000

Developer Fee (Senior Loan portion)

1,835,000

Contingency

1,440,000

Subtotal

47,500,000

Less: Equity Deposit applied first to Hard Costs (Section 4.8)

(2,140,000)

Maximum Aggregate Advances (80.00% LTC Availability)

45,360,000

Notes to Schedule 1.2.

1. **Reconciliation with the source draw schedule.** The draw schedule delivered by Borrower (dated January 8, 2025) presents the Advances in Part A in gross amounts (i.e., $5,212,500, $6,950,000, $6,950,000, $5,212,500, $3,475,000, $3,475,000 and $3,475,000) and describes the ninth advance of $3,275,000 as a "Retainage Release," although 10% of the Guaranteed Maximum Price is $3,475,000 and the ninth advance is not sufficient to fund the retainage release. That schedule therefore neither withholds the stated 10% retainage nor funds the Developer Fee and Contingency, and its column components total $48,500,000 against a $47,500,000 commitment. This Schedule 1.2 restates the schedule on a net-of-retainage basis and reconciles it to the Commitment. The milestone percentages and gross Hard Cost amounts are unchanged from the source schedule. See Cover Memorandum, Issue 9.

2. **Timing.** The estimated dates are Borrower's projections and are not covenants; the outside date for Substantial Completion is governed by Section 6.1 and Section 10.7. Because the estimated date of the Final Advance (October 2027) falls after the Construction Maturity Date (August 28, 2027), the Final Advance may be made during the Mini-Perm Period, subject to the conditions in Section 4.4 and to no Event of Default then existing.

3. **Retainage.** Retainage shall be held by Lender and released only as part of the Final Advance. Lender may, at Borrower’s request, permit reduction of Retainage to 5% upon the Construction Consultant’s certification that the Project is 50% complete and satisfactory evidence that the Contractor’s performance is on schedule and within budget, provided such reduction does not cause the LTC to exceed 80.00%.

SCHEDULE 1.3 — PERMITTED EXCEPTIONS

No.

Description

1

Standard printed exceptions (items 1–6 of Schedule B-II of the Title Commitment), to the extent not deleted by the Title Company; Borrower shall use commercially reasonable efforts to cause deletion of the survey and possession exceptions upon delivery of the Survey and an affidavit of possession

2

Easement in favor of Duke Energy Carolinas, LLC, 20 feet in width along the western boundary of Parcel 0821-04-72-3341, recorded in Book 4387, Page 621, Durham County Registry

3

Stormwater management easement in favor of the City of Durham affecting approximately 0.22 acres in the southern portion of Parcel 0821-04-72-3341, recorded in Book 7421, Page 212, Durham County Registry

4

Declaration of Covenants, Conditions and Restrictions recorded by Brightleaf Historic District Association, Inc. in Book 6984, Page 1155, as amended in Book 7102, Page 388, Durham County Registry

5

Ad valorem real property taxes for fiscal year 2025 and subsequent years, not yet due and payable

6

Zoning, setback, height, density, parking and design-overlay matters imposed by the City of Durham Unified Development Ordinance for the MU-D district (exception 12 of the Title Commitment)

7

The environmental land use restriction and the deed notice required by the NFA Letter, in the form approved by Lender

Excluded from Permitted Exceptions. The deed of trust recorded in Book 6215, Page 892, Durham County Registry, from Foster Street Properties LLC to the trustee for Triangle Commercial Bank (original principal amount $3,400,000), together with any assignment, modification, extension or renewal thereof, and any other exception shown on Schedule B-II of the Title Commitment, is not a Permitted Exception and must be released, satisfied or otherwise removed of record at or before Closing. Borrower shall cause the Title Company to delete all such exceptions from the Title Policy.

SCHEDULE 1.4 — AFFECTED AREA AND NFA LETTER CONDITIONS

Affected Area. Approximately 0.38 acres in the northeast corner of Parcel 0821-04-72-4102, as delineated on Figure 3 to the Phase I ESA and as depicted on the Survey, within which residual soil concentrations of total petroleum hydrocarbons (diesel range organics) and benzene exceed NCDEQ residential Preliminary Soil Remediation Goals but are below NCDEQ non-residential standards, and within which soil gas concentrations of benzene (maximum 185 µg/m³ at SG-04) exceed the NCDEQ residential vapor intrusion screening level (31 µg/m³).

NFA Condition

Requirement

Loan Document Obligation

Condition 1 — Vapor Mitigation System

Passive sub-slab depressurization system (convertible to active) beneath any enclosed structure over the Affected Area; designed by a North Carolina licensed professional engineer; as-built drawings and performance verification report submitted to NCDEQ within 90 days after completion of the building foundation in the Affected Area

Sections 3.6(a), 4.4(g), 5.8, 6.4(a), 6.4(d)

Condition 2 — Non-Residential Land Use Restriction

Affected Area restricted to non-residential use; any change to residential or other sensitive use requires additional investigation and/or remediation and a modification of the NFA Letter

Sections 3.6(d), 5.8, 6.4(b), 7.7, 10.11

Condition 3 — Soil Management Plan

NCDEQ-approved soil management plan required before any excavation, grading or soil disturbance in the Affected Area

Sections 3.6(b), 6.4(c), 10.11

Condition 4 — Deed Notice

Notice of residual contamination and land use restriction recorded in the Durham County Registry of Deeds within 60 days after September 30, 2024 (i.e., by November 29, 2024)

Sections 3.6(c), 5.8, 6.4(a)(iv), 10.11

Open item. No recorded deed notice appears in the Title Commitment (effective December 5, 2024), and the Phase I ESA (October 28, 2024) reports that no evidence of recording had been provided. Borrower must deliver a copy of the recorded instrument, or a written confirmation from NCDEQ that the deadline has been satisfied or extended, as a condition to Closing under Section 3.6(c).

SCHEDULE 1.5 — MEMBERS AND PLEDGED INTERESTS

Member

Type

Membership Interest

Role

Pledged Interests

Elena Vasquez-Torres

Individual

62%

Managing Member; Guarantor

62%

Brightleaf Investors Group LLC (NC SOS File No. 2045612; Managing Member: Thomas R. Chen)

North Carolina LLC

28%

Member

28%

Reginald K. Osei

Individual

10%

Member; Guarantor

10%

Total

100%

100%

Affiliate note. Brightleaf Investors Group LLC is under the common control of Thomas R. Chen with Brightleaf Mezzanine Capital LLC (NC SOS File No. 2103988), the Mezzanine Lender. See Section 13.4.

SCHEDULE 6.8 — REPORTING REQUIREMENTS

Report

Frequency

Deadline

Section

Monthly construction progress report, with Construction Consultant sign-off, schedule update, change order log and budget reconciliation	Monthly (Construction Period)	15 days after month end	6.8
Interest Reserve reconciliation (opening balance, interest debited, deposits, projected remaining interest)	Monthly	15 days after month end	2.10(f)
Quarterly unaudited financial statements of Borrower	Quarterly	45 days after quarter end	6.8
Quarterly guarantor liquidity certification and personal financial statements	Quarterly	45 days after quarter end	8.5, 6.8
Annual audited financial statements of Borrower	Annually	120 days after fiscal year end	6.8
Annual personal financial statements of each Guarantor	Annually	120 days after fiscal year end	6.8
Annual Borrower net worth certification (Compliance Certificate)	Annually	120 days after fiscal year end	8.4
Annual certification of compliance with all conditions of the NFA Letter, with supporting NCDEQ correspondence	Annually		

30 days after each anniversary of the NFA Letter

6.4(d)

Evidence of payment of real property taxes and CC&R assessments

Annually (and upon request)

30 days after each due date

6.6

Rent roll

Quarterly, after first certificate of occupancy

1st Business Day of each quarter

6.13

Copies of material notices, permits, governmental correspondence, NCDEQ filings and ARC submissions

Promptly

5 Business Days after receipt or delivery

6.3, 6.4, 6.10

Copies of all material Mezzanine Loan notices and any default notice

Promptly

5 Business Days

6.12

SCHEDULE 9.1 — REQUIRED TITLE ENDORSEMENTS

The Title Policy shall include, at Borrower’s expense, the following endorsements (or Lender’s then-current equivalents): (a) ALTA 32-06 Construction Loan; (b) ALTA 33-06 Disbursement; (c) ALTA 14-06 Future Advance — Priority; (d) ALTA 3.1 Zoning (with parking, height and density); (e) ALTA 8.1 Environmental Protection Lien; (f) ALTA 9-06 Restrictions, Encroachments and Minerals; (g) ALTA 22-06 Location; (h) ALTA 4-06 Contiguity (confirming the two parcels constitute a single, contiguous site); (i) ALTA 5.1-06 Planned Unit Development or ALTA 5-06 (if applicable); (j) ALTA 6-06 Variable Rate; (k) ALTA 17-06 Access; (l) ALTA 18-06 Map; (m) ALTA 20-06 Developers of Real Estate; and (n) such other endorsements as Lender may reasonably require, including an endorsement confirming that the Title Policy amount is tied to the maximum principal amount of the Loan as it may be advanced from time to time.

EXHIBIT A — FORM OF ADVANCE REQUEST

ADVANCE REQUEST AND CERTIFICATE — Loan No. CRE-2025-0342 — The Piedmont at Brightleaf

To: Pinnacle Savings Bank, N.A.

The undersigned, on behalf of Harborview Capital Partners LLC (“Borrower”), requests an Advance in the amount of $_____ to be funded on _____, 20__, and certifies as follows:

1. The Advance is requested for Advance No. ___ under the Approved Draw Schedule and represents the milestone described as _____, which has been completed in accordance with the Approved Plans.

2. The proceeds will be applied solely to the following approved budget line items: _____ (amount $_____), _____ (amount $_____).

3. Attached hereto are: (a) AIA Forms G702 and G703 certified by the Architect and the Contractor; (b) the Construction Consultant’s report; (c) conditional lien waivers from the Contractor and all subcontractors and materialmen through the date hereof; (d) the Title Company’s date-down endorsement; (e) evidence of insurance; (f) the current Interest Reserve reconciliation demonstrating no Interest Reserve Deficiency; (g) the current budget reconciliation demonstrating sufficient remaining funds (including the undisbursed Commitment, the undisbursed Equity Deposit and available Contingency) to complete the Project; and (h) such other items as Lender has requested.

4. No Event of Default exists, and no event has occurred which, with notice or lapse of time or both, would constitute an Event of Default.

5. All representations and warranties in the Loan Documents are true and correct in all material respects as of the date hereof.

6. The Loan-to-Cost Ratio, after giving effect to this Advance, will not exceed 80.00%. It will equal _____%.

7. [If applicable] The conditions in Section 6.4(e) with respect to work in, over or adjacent to the Affected Area have been satisfied.

8. The Equity Deposit has been applied to Eligible Costs as required by Section 4.8 in the amount of $_____, and $_____ remains unapplied.

HARBORVIEW CAPITAL PARTNERS LLC

By: _____ Name: _____ Title: Managing Member Date: _____

EXHIBIT B — FORM OF COMPLIANCE CERTIFICATE

COMPLIANCE CERTIFICATE — Loan No. CRE-2025-0342 — for the period ended _____, 20__

The undersigned, the Managing Member of Harborview Capital Partners LLC, certifies that the following computations are true and correct as of the date hereof and that no Event of Default exists (or, if one exists, describing it in reasonable detail and stating what action Borrower has taken or proposes to take):

Covenant	Requirement	Actual	Compliance
Loan-to-Cost Ratio (Section 8.1)	≤ 80.00%	_____%	Yes / No

Loan-to-Value — as-completed (Section 8.2)

≤ 65.00%

_____%

Yes / No

Loan-to-Value — as-stabilized (Section 8.2)

≤ 65.00%

_____%

Yes / No

DSCR (Section 8.3)

≥ 1.25x

_____x

Yes / No

Borrower Net Worth (Section 8.4)

≥ $12,000,000

$_____

Yes / No

Guarantor Liquidity (Section 8.5)

≥ $5,000,000

$_____

Yes / No

Guarantor Net Worth (Section 8.6)

≥ $_____

$_____

Yes / No

Interest Reserve balance

≥ projected interest to next test date

$_____

Yes / No

NFA Letter compliance (Section 6.4)

Full compliance

_____

Yes / No

CC&R assessments paid (Section 6.6)

Current

_____

Yes / No

Equity Deposit applied (Section 4.8)

Applied to Hard/Soft Costs only

$_____

Yes / No

Supporting schedules and computations are attached.

HARBORVIEW CAPITAL PARTNERS LLC

By: _____ Name: Elena Vasquez-Torres Title: Managing Member Date: _____

END OF DRAFT LOAN AGREEMENT